



GOVERNMENT OF SIKKIM
FINANCE, REVENUE & EXPENDITURE DEPARTMENT

ANNUAL CONSOLIDATED AUDIT AND REVIEW REPORT

On the accounts of
PANCHAYATI RAJ INSTITUTIONS & MUNICIPALITIES



AUDITED DURING THE YEAR ENDED
31st MARCH 2019

(To be laid before the Legislature, as required Under Section 19 of
Sikkim Local Fund Audit Act, 2012)

**DIRECTORATE OF LOCAL FUND AUDIT,
GANGTOK**




E-mail

03592-202575(O)
cm-skm@hub.nic.in

P.S. Tamang (Goley)
Chief Minister of Sikkim

Gangtok-737101
Sikkim

I, P.S. Tamang (Goley), Minister-in-Charge of Finance, Revenue and Expenditure Department do hereby authenticate the Annual Consolidated Audit and Review Report on the Accounts of Panchayati Raj Institutions and Municipalities audited during the year ended 31st March 2019.

I approve the same for placing on the table of Sikkim Legislative Assembly.

Dated:

P.S. Tamang (Goley)

PREFACE

The Government of Sikkim has entrusted the Director of Local Fund Audit Sikkim to conduct the audit of the accounts of the Local Bodies as per provision of relevant Acts/Rules under the Technical Supervision and Guidance (TGS) of C&AG to comply with the recommendation of the Eleventh Finance Commission. Also, The Thirteenth Finance Commission had in its report vide para 10.161 stipulated that the State Government would be eligible to draw its share of general performance grants only if it complied with certain conditions. One of the conditions was to put in place the audit system for local bodies i.e. all categories of ULBs and all tiers of PRIs and the Annual Report of the Director of Local Fund Audit as required to place before the State Legislature.

Consequently, the Sikkim Local Fund Audit Act - 2012 has empowered the Director of Local Fund Audit to conduct the audit of accounts of Local Bodies. The Director, Local Fund Audit, conducts post audit of all Local Bodies in the subsequent financial year.

The Audit Reports of notified PRIs including Gram Panchayats, Zilla Panchayats, and Municipalities including Nagar Panchayats, Municipal Councils and Municipal Corporation, are approved by the competent authority. Institution wise audit reports containing various audit observations are issued to the Executive Authorities of the Local bodies for follow up action, i.e. rectification of defects pointed out in the audit reports and to submit the suitable replies to the Audit after obtaining approval of the General Body of the authority concerned.

Under the Sikkim Local Fund Audit Act, the Director is vested with the power of disallowing any item of the expenditure incurred contrary to the law and surcharges penalties on the person incurring or authorizing for incurrance of such expenditure.

Under Section 19 of Sikkim Local Fund Audit Act, 2012, the Director, Sikkim Local Fund Audit is required to submit annually a Consolidated Audit and Review Report on the accounts of the Local Bodies to the Government for laying of such report on the table of the Legislative Assembly.

Accordingly, the Annual Consolidated Audit and Review Report (Annual CARR) for the year ended 31st March 2018 on the Accounts of Local Bodies are prepared and the same is hereby placed on the table of the Sikkim Legislative Assembly.

FOREWORD

The Consolidated Audit and Review Report of Local Bodies audited during the year ended 31st March 2019 is compiled in Two parts.

Part - I: Panchayati Raj Institutions.

Part - II: Municipalities

Part I deals with a few Selected Audit Observations in respect of the Panchayati Raj Institutions i.e., Gram Panchayats and Zilla Panchayats, and;

Part II deals with a few Selected Audit Observations in respect of Municipalities i.e., Nagar Panchayats, Municipal Councils and Municipal Corporation.

GLOSSARY OF ABBREVIATIONS

AG	Accountant General
APO	Assistant Programme Officer
BAC	Block Administrative Centre
BDO	Block Development Officer
BRGF	Backward Region Grants Fund
BSUP	Basic Service for Urban Poor
CAG	Comptroller and Auditor General of India
CARR	Consolidated Audit and Review Report, LFA
CDS	Community Development Society
DLFA	Directorate of Local Fund Audit, Sikkim
DPR	Detailed Project Reports
DLRMC	District Level Review and Monitoring Committee
DUDA	District Urban Development Agency
FFC	Fourteenth Finance Commission
FRED	Finance, Revenue and Expenditure Department
GMC	Gangtok Municipal Corporation
GOI	Government of India
GOS	Government of Sikkim
GP/GPU	Gram Panchayat/Gram Panchayat Unit
GRS	Gram Rojgar Sahayak
GVA	Gram Vikas Adhikari
LFA	Local Fund Audit, Sikkim
MGNREG	Mahatma Gandhi National Rural Employment Guarantee
MoRD	Ministry of Rural Development
MC	Municipal Council
NHG/NHC	Neighborhood group/ committee
NP	Nagar Panchayat
NULM	National Urban Livelihood Mission
OSR	Other Source Revenue
PAA	Panchayat Accounts Assistant
PAO	Pay and Accounts Office, Sikkim
PDA	Panchayat Development Assistant
PO	Programme Officer
PI	Panchayat Inspector
PRI	Panchayati Raj Institutions

RDA	Rural Development Assistant
RLB	Rural Local Bodies
SFC	State Finance Commission
SFR	Sikkim Financial Rules, 1979
SJSRY	Swarna Jayanti Sahari Rozgar Yojana
SLMC	State Level Monitoring Committee
SPWD	Sikkim Public Works Department
SSR	Sikkim Service Rules, 1979
STEP-UP	Skill Training for Employment Promotion amongst Urban Poor
SUDA	State Urban Development Agency
TA	Technical Assistant
TFC	Thirteenth Finance Commission
UBSP	Urban Basic Services for the Poor
UCDN	Urban Community Development Network
UDF	Urban Development Fund
ULB	Urban Local Bodies
UPE/UPA	Town Urban Poverty Eradication/Alleviation
USEP	Urban Self Employment Programme
UWEP	The Urban Wage Employment Programme
UWSP	Urban Women Self-help Programme
VAA	Village Administrative Assistant
VAC	Village Administrative Centre
VWSC	Village Water and Sanitation Committee
ZP	Zilla Parishad/Panchayat

OVERVIEW

Under the Sikkim Local Fund Audit Act, 2012 the Director of Local Fund Audit, Sikkim is made in charge of the audit of the funds of the Panchayati Raj Institutions as specified in the Schedule prescribed in the said Act.

The Department conducts post audit of the Panchayati Raj Institutions and prepares Audit Reports consisting of defects noticed during the audit are issued to the Chief Executive Officer of the institutions concerned who has to take action for rectifying the defects pointed out during the audit.

Under the Local Fund Audit Act, the Director, Local Fund Audit, Sikkim is vested with the power of disallowing any item of the expenditure incurred

Sl. No	Name of the Institution	Total Units	District wise Units covered by DLFA during 2018-19					
			East	West	North	South	Total	%
1.	Dzumsa	2	0	0	0	0	0	0
2.	Gram Panchayat Unit	176	22	32	7	0	61	34.66
3.	Municipal Corporation	1	1	0	0	0	1	100.00
4.	Municipal Council	3	0	1	0	2	3	100.00
5.	Nagar Panchayat	3	2	0	1	0	3	100.00
6.	Zilla Panchayat	4	0	1	1	1	3	66.67
	Total	189	25	34	9	3	71	37.57

contrary to the law and surcharge penalties to the person incurring or authorizing such expenditure. The Director is also required to submit annually a Consolidated Audit and Review Report on the accounts of Local Bodies to the State Government for laying in the Sikkim Legislative Assembly.

During the year 2018-19, the Directorate of Local Fund Audit audited the accounts of Local Bodies pertaining to the financial years 2014-15, 2015-16 and 2016-17 as shown in the table given below:

CATEGORISATION OF AUDIT OBSERVATIONS

Various irregularities broadly segregated under different categories were noticed during the course of audit and the same were reported to the Executive Authorities as detailed below in order to facilitate prompt remedial action from their end.

1. Unadjusted Advances
2. Diversion of Grants/Funds
3. Excess payments
4. Irregularities in execution of works
5. Mis-appropriations
6. Mis-utilisation of grants / funds
7. Non-collection of dues
8. Non-production of records
9. Non-remittance of deductions / recoveries made into State Government Treasury.
10. Non-utilization of grants within the time frame.
11. Pendency of utilization certificates
12. Non adherence/Violation of rules
13. Wasteful expenditure
14. Other observations
 - ✓ The category wise and institution wise numbers of audit objections raised during the year are shown in Statements appended herewith in respective institutional reports.
 - ✓ On receipt of replies to the defects pointed out in the earlier reports which were duly supported by relevant records / documents, the audit objections were settled wherever the replies were found to be satisfactory. The Audit Reports contain the details of number of audit objections pending settlement at the close of the audit.
 - ✓ The gist of selected audit objections pertaining to Panchayati Raj Institutions and Municipalities which were raised during the year 2014-15, 2015-16 & 2016-17 are also included in the respective

parts of the report.

- ✓ The audit paras selected for inclusion in the Annual Consolidated Audit & Review Report present a glimpse of financial administration being practiced in the Local Authorities.

COMMON OBSERVATIONS

Some of the Observations frequently observed during audits that were noticed in almost all Gram Panchayat Units and Municipalities are recorded below. Although, these observations are very important but some Zilla Panchayats and Gram Panchayat Units have neglected to comply with the required standing norms and instructions resulting in recurrence of such observations in every audit period. Despite being noticed by Audit and informed to the concerned institutions time and again, the cases are still prevailing.

Moreover, the detail references of these observations are kept in Directorate of Local Fund Audit for future references. The concerned offices are therefore suggested to understand and take note of the common observations and are required to avoid such irregularities in future.

Various categories of common observation noticed by audit are as under:

1. The prescribed Accounting System are not followed
2. Improper maintenance of Cash Book
3. Non preparation/Late preparation of annual and supplementary budgets or non compliance of budget while incurring expenditure.
4. Non furnishing of Utilization Certificates
5. Submission of Utilization Certificate in excess of actual expenditure.
6. Monthly Reconciliation with Bank was not done.
7. Misutilization of Discretionary Grants.
8. Irregular payment of Honorarium.
9. Non Deduction of VAT, CESS etc. at source.
10. Improper maintenance of Vouchers.
11. Non maintenance of Advance Register.
12. Excess Expenditure of administrative component of 14th FC Grant.
13. Irregular Local Purchases.
14. Cheque drawn in favour of President, Secretary and other Staff.
15. Unawareness of responsibility of Panchayat Account Assistant (GPU)
16. Delay in deposit of receipts.

- 17. Improper maintenance of books of accounts.
- 18. Improper monitoring and evaluation (MGNREGA)
- 19. Avoidable expenditure on Tools and implement(MGNREGA)
- 20. Wage material ratio 60:40 not maintained (MGNREGA)

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PART - I

**Panchayati Raj
Institution**

SCOPE OF AUDIT

1. The Local Fund Audit Division has been statutorily entrusted with the authority to verify the following aspects during the course of post audit of the Panchayati Raj Institutions, viz., Gram Panchayats.

- a. Whether the taxes, fees etc., collected by the Panchayati Raj Institutions were properly accounted for with full details in the books of accounts of the body concerned.
- b. Whether adequate care is taken up periodically to check up the funds with the Treasury or Bank.
- c. Whether the expenditure incurred was provided for in the Budget of the Panchayati Raj Institutions concerned and duly sanctioned by the competent authority under the Act / Rules or any Executive Instructions by the Government.
- d. Whether the funds were utilized only for the permitted purposes prescribed under the Act / Rules.
- e. Whether the procedure prescribed by the Government in incurring the expenditure/ payments made is properly followed and accounted for with due classification in the books of accounts.
- f. Whether the required vouchers for the expenditure incurred were maintained.
- g. Whether grants received from different sources were properly accounted for and utilized for the purposes for which they were meant.

INSTITUTIONS AUDITED

2. During the year 2018-19 the following Panchayati Raj Institutions were audited by the Local Fund Audit for the year 2014-15, 2015-16 and 2016-17

Sl. no	Panchayati Raj Institutions	No. of Unit audited
1.	Zilla Panchayats	3
2.	Gram Panchayats	61
	Total	64

2.1 Zilla Panchayats

Sl. no.	District	Zilla Panchayat	Financial Years Audited
1.	North	Mangan	2016-17
2.	West	Gyalshing	2014-15 to 2016-17
3.	South	Namchi	2014-15 to 2016-17

2.2 Gram Panchyat Units

Sl. no	Gram Panchayat Unit(GPU)	Block (BAC)	Financial Years Audited
1.	5 Ramthang Tangyek	Mangan	2014-15 to 2016-17
2.	6 Namok Swayem		2014-15 to 2016-17
3.	7 Mangshila Tibuk		2014-15 to 2016-17
4.	8 Tingchem Chadey		2014-15 to 2016-17
5.	9 Ringhim Nampatam		2014-15 to 2016-17
6.	10 Singhik		2014-15 to 2016-17
7.	11 Tung Naga		2014-15 to 2016-17
8.	1 Karzi Mangnam	Chongrong	2014-15 to 2016-17
9.	2 Dhupidara Narkhola		2014-15 to 2016-17
10.	5 Arithang Chongrang		2014-15 to 2016-17
11.	10 Darap	Gyalshing	2014-15 to 2016-17
12.	11 Singyang-Chumbong		2014-15 to 2016-17
13.	12 Yangten		2014-15 to 2016-17
14.	13 Gyalshing-Omchung		2014-15 to 2016-17
15.	14 Yangthang		2014-15 to 2016-17
16.	15 Lingchom-Tikjya		2014-15 to 2016-17

Sl. no	Gram Panchayat Unit(GPU)	Block (BAC)	Financial Years Audited
17.	16 Sardong-Lungzik	Dentam	2014-15 to 2016-17
18.	17 Bongten Sapong		2014-15 to 2016-17
19.	18 Karmatar-Gyaten		2014-15 to 2016-17
20.	19 Maney Bung Sopakha		2014-15 to 2016-17
21.	20 Dentam		2014-15 to 2016-17
22.	21 Sangkhu Radhukhandu		2014-15 to 2016-17
23.	22 Hee		2014-15 to 2016-17
24.	23 Martam	Hee Martam	2014-15 to 2016-17
25.	24 Pecherek Hee Patal		2014-15 to 2016-17
26.	25 Bermiok-Barthang		2014-15 to 2016-17
27.	26 Chingthang		2014-15 to 2016-17
28.	27 Sangadorji	Kaluk	2014-15 to 2016-17
29.	28 Tadong-Rinchenpong		2014-15 to 2016-17
30.	29 Samdong		2014-15 to 2016-17
31.	30 Deythang		2014-15 to 2016-17
32.	31 Takothang		2014-15 to 2016-17
33.	33 Mabong-Segeng	Chumbung	2014-15 to 2016-17
34.	34 Khaniserbong Suntale		2014-15 to 2016-17
35.	36 Samsing Gelling		2014-15 to 2016-17
36.	37 Chakung		2014-15 to 2016-17
37.	38 Mendogaon Berbotey		2014-15 to 2016-17
38.	39 Chumbong		2014-15 to 2016-17
39.	40 Zoom		2014-15 to

Sl. no	Gram Panchayat Unit(GPU)	Block (BAC)	Financial Years Audited
			2016-17
40.	15 Gnathang	Nandok	2014-15 to 2016-17
41.	27 Assam Lingzey		2014-15 to 2016-17
42.	28 Bhusuk Naitam		2014-15 to 2016-17
43.	29 Nandok Saramsa		2014-15 to 2016-17
44.	30 Rongey Tathangchen		2014-15 to 2016-17
45.	31 Kopibari Syari		2014-15 to 2016-17
46.	52 Kyongnosla		2014-15 to 2016-17
47.	40 Sirwani Chisopani	Khamdong	2014-15 to 2016-17
48.	41 Khamdong		2014-15 to 2016-17
49.	42 Dung Dung Thasa		2014-15 to 2016-17
50.	47 Simik Lingzey		2014-15 to 2016-17
51.	43 Patuk Singbel	Rakdong Tintek	2014-15 to 2016-17
52.	44 Tumin		2014-15 to 2016-17
53.	45 Samdong Kambal		2014-15 to 2016-17
54.	46 Rakdong Tintek		2014-15 to 2016-17
55.	20 Thekabong Parakha	Parakha	2014-15 to 2016-17
56.	21 Riwa Machong		2014-15 to 2016-17
57.	19 Latuk Chuchenpheri		2014-15 to 2016-17
58.	1 Sumin Lingzey	Duga	2014-15 to 2016-17
59.	2 West Pendam		2014-15 to 2016-17
60.	3 Central Pendam		2014-15 to 2016-17
61.	5 Budung Kamarey		2014-15 to 2016-17

SOURCES OF FUND OF THE GRAM PANCHAYAT UNITS

3. Under sub-rule 3 of Rule 3 of The Sikkim Panchayat (Financial) Rules, 2003 notified vide No. 35(159)/93-94/RDD/P-III/33 dated 10-07-2003, states that the account shall be maintained in the name and style of “Panchayat Fund” duly prefixing the name of the Panchayat and jointly operated. The Panchayat fund constitutes self-generated fund and Grant-in-Aids. The pattern of all the constituents of Panchayat Fund is not uniform, though Annual Accounts contains all such constituents. The position is given below;

Sl. no.	Constituent of GP Fund	Remarks on post audit
1.	General Fund	Post Audit is conducted by the Director of Local Fund Audit and the consolidated Report is being placed on the table of Legislative Assembly.
2.	BRGF Grant	-do-
3.	Central Finance Commission Grants	-do-
4.	State Finance Commission Grants	-do-
5.	Education Fund (HRDD)	-do-
6.	Mahatma Gandhi NREGS	-do-

RECEIPTS AND PAYMENTS (2014-15, 2015-16 & 2016-17)

4. The Receipts and Payments are inclusive of the various grants received from Central and State Governments during the year 2014-15, 2015-16 & 2016-17 by the Gram Panchayats audited during the period. The details of gross Receipts and Payments are shown in the **Annexure No. 1** with reference to the Gram Panchayats.

4.1 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Gram Panchayats audited during the year for the financial year 2014-15 are Rs.80869945 and Rs 5,19,60,401 respectively.

4.2 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Gram Panchayats audited during the year for the financial year

2015-16 are Rs137546638 and Rs 9,25,49,531 respectively.

4.3 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Gram Panchayats audited during the year for the financial year 2016-17 are Rs161157795 and Rs 8,14,37,701 respectively.

5. The Receipts and Payments are inclusive of the various grants received from State Government for Grants in Aid/ HRDD for salary of Teachers during the year 2014-15, 2015-16 & 2016-17 by the Gram Panchayats audited during the period. The details of gross Receipts and Payments are shown in the **Annexure No. 2** with reference to the Gram Panchayats regarding payment of salaries of Teachers as Grants in Aid.

5.1 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Gram Panchayats audited during the year for the financial year 2014-15 are Rs647066248 and Rs 55,50,61,807 respectively.

5.2 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Gram Panchayats audited during the year for the financial year 2015-16 are Rs816835242 and Rs 68,33,75,741 respectively.

5.3 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Gram Panchayats audited during the year for the financial year 2016-17 are Rs867474268 and Rs72,81,57,463 respectively.

6. The Receipts and Payments are inclusive of the various grants received from Central and State Governments during the year 2014-15, 2015-16 & 2016-17 by the Zilla Panchayats audited during the period. The details of gross Receipts and Payments are shown in the **Annexure No. 3** with reference to the Zilla Panchayats.

6.1 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Zilla Panchayats audited during the year for the financial year 2014-15 are Rs206728106 and Rs 13,21,34,876 respectively.

6.2 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Zilla Panchayats audited during the year for the financial year 2015-16 are Rs174866527 and Rs 8,68,64,263 respectively.

6.3 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Zilla Panchayats audited during the year for the financial year 2016-17 are Rs253502242 and Rs 11,48,38,095 respectively.

However, during the course of audit of Gram Panchayats and Zilla Panchayats for the year 2014-15, 2015-16 & 2016-17, the defects noticed were already pointed out in the relevant Audit Reports, as “Audit Observations” which were forwarded to the Chief Executive Authorities concerned for further action at their end as per the procedure laid down under the Sikkim Local Fund Audit Act, 2012.

AUDIT - OBSERVATIONS

A. AUDIT PARAS OF ZILLA PANCHAYATS

The gist of some selected audit Observations of Zilla Panchayats raised during the year 2018-19 under report is enumerated below:

I. NON ADHERENCE TO RULES

1. Zilla Panchayat Mangan - Purchase without calling quotation

As per the normal procedure, all purchases are to be made by inviting quotations atleast from three or more firms / suppliers from the market. However, the Zilla Panchayat Mangan (North) had purchased materials from local supplier without calling quotations. This situation could not prove that the materials were purchased at a reasonable market rate. Thus, the expenditure made by the Zilla Panchayat does not confirm to the principle of financial propriety. Hence the expenditure is irregular and in violation of the standing norms.

Details are given below:

Sl. No	Particulars	Cheque No. and Date	Amount(Rs)
1.	M/S Shree Nath Prasad supply Dustbin for 24nos of wards	993112/ 30.07.2016	9,29,600/-
2.	CITI Computers supply Furniture to Tingchim Sec, School	993152 /27.10.2016	2,70,295/-
3.	CITI Computers supply Air-Conditioner for Conference Hall at Zilla Panchayat	506763 /17.12.2016	2,17,400/-
4.	M/S Shree Nath Prasad supply of Furnitures Conference Hall at Zilla Panchayat	506763 /17.12.2016	1,43,300/-
	Total		15,60,595/-

II. INADMISSIBLE EXPENDITURE

1. Zilla Panchayat Mangan - Irregular Utilization of Grants-in-aid towards slip clearance & MR salary

The districts development Plan was to be prepared for undertaking various infrastructure projects to be implemented under grants-in-aid. Test check on records of Zilla Panchayat (North) revealed that an amount of Rs 9,10,976 /-only was incurred towards slip clearance, MR payment, etc as detailed below during the period 2016-17 without complying with rules & procedures as required.

These roads and sites are not under the administrative control of NDZP but are being maintained either by the Roads & Bridges Dept. RMDD or the Forest Dept. Therefore, the expenditure incurred on the projects is doubtful and could not be vouched as genuine payment.

Sl.no.	Particulars	Cheque No & Date	Amount(Rs)
1.	Payment made to Div Engineer, NDZP for Slip clearance at approach road to CRC project site at Tibuk under Mangshila Tibuk GPU.	993081/20.04.2016	1,80,906/-
2.	Payment made to Div Engineer, NDZP towards immediate restoration along approach road Bomzey village to Lachan Dzumsa, North Sikkim.	993082/29.04.2016	1,90,030/-
3.	Payment made to Div Engineer, NDZP for Slip clearance at Chanochoth khola on the way to construction site of SFB under lachan, Dzumsa.	993083/20.04.2016	1,90,680/-
4.	Payment made to Asst. Engineer, NDZP towards immediate protective wall at approach to Nanphebong under upper Dzumsa.	993086/9.05.2016	1,20,120/-
5.	Payment made to Asst. Engineer, NDZP towards construction of protective wall slip under Shipgyer GPU	993131/01.10.2016	2,29,240/-
	Total	9,10,976/-	

2. Zilla Panchayat Mangan - Irregular utilization of 13th FC Grants

13th FC Grants for the period 2010-15 recommended for utilization of grants towards basic services such as water supply, sanitation etc for undertaking various infrastructure projects to be implemented for the economic development and ensure social justice in rural area.

Scrutiny of records of Zilla Panchayat (North) revealed that an amount of Rs 25,75,000/- was incurred towards exposure visit which is not permissible under TFC grants recommendation as the expenditure above did not contribute towards improvement of the basic service. Such expenditure is in deviation of TFC recommendation and guidelines and thus the very purpose of the scheme is defeated.

Moreover, the State Government had allotted Rs 12,50,000/- under 13th FC grants for exposure tour of Zilla Panchayat member of North Sikkim. However audit observed that the detailed vouchers and supporting documents aggregating to Rs 25,75,000/- was not available in the office nor produced for examination to the visiting audit party.

The details are given below:

Sl.no.	Particulars	Cheque No & Date	Amount(Rs)
1.	Tour outside India	993089/25.05.2016	23,25,000/-
2.	Andaman Tour	993090 /25.05.2016	2,50,000/-
Total			25,75,000/-

III. UNADJUSTED ADVANCES

1. Zilla Panchayat Mangan - Non Adjustment of Advances

Scrutiny by audit revealed that advances were drawn by North District Zilla Panchayat, however, following advances were not adjusted till date.

Details are given below:

Sl. no.	Particulars	Chq or Vr no/date	Amount(Rs)
1	Advance drawn for purchase of Battery from STCS for the use of Sk-03/G0127 (Bolero) attached to Div. Engineer.	Vr. no 10/ 25.04.2017	16,622/-
2	Advance drawn for purchase of Battery from STCS for the use of Sk-03-G0202 (Bolero) attached to DPO	Ch. No.018007/ 25.04.2017	10,722/-
	Total		27,344/-

IV. IRREGULARITIES IN EXECUTION OF WORKS

1. Zilla Panchayat Mangan - Community Recreational Centre at Samdong under TSP

The project Community Recreational Centre (CRC) for Lachen at Samdong, was built on plot of land situated beyond 20 kms from Lachen Village. The CRC was sanctioned by the State Government (RMDD) at the estimated cost of Rs.1.32 Crore.

Audit observed that the CRC was not put to use nor it is usable as there is no inhabitation in the area and hence, is kept idle. The windows are now broken and it is apprehended that it is ultimately of no use. Thus, the expenditure of Rs.1.32 Crore incurred is unfruitful and infructuous expenditure.

Some of the payment details are enumerated as under:

Sl. no.	Particulars	Cheque No & Date	Amount(Rs)
1.	Denzong Kipa Lachenpa (1st RA bill released from RMDD & fund released for settlement of pending	-	77,17,256/-

Sl. no.	Particulars	Cheque No & Date	Amount(Rs)
	liabilities to NDZP		
2.	Augmentation of water supply and sanitary installations at CRC Samdong By M/s Shreenath Prasad, Mangan.	506829 /23.02.2017	3,52,967/-
3.	Const. of CC footpath at CRC Samdong, By M/s Shreenath Prasad, Mangan.	506831/23.03.2017	92,111/-
4.	Supply of furniture at CRC Samdong, By M/s Shreenath Prasad, Mangan.	506832/23.3.2017	2,49,996/-
5.	Supply of audio system at CRC Samdong ,by CITY Computers, Mangan.	506834/23.03.2017	98,104/-

The asset proposed and created is meant for utilization for public purposes which were not practically possible in the location.

In fact it would had been advisable if the assets was created in a place that could have been put into public use or could have generated revenue at least sufficient to suffice its maintenance.

It was noticed during the audit that in some cases the Rules / Government instructions for incurring the expenditure from the funds of the Zilla Panchayats were not followed either due to negligence. In certain cases, the funds of the Zilla Panchayats were utilized for the purposes other than the permitted under the Act / Rules. It was also noticed that in a few cases, Government instructions were misinterpreted to accommodate the expenditure.

V. MISAPPROPRIATION OF FUND

1. West District Zilla Panchayat - Misappropriation of fund - Rs 6,06,000/-

Scrutiny of audit revealed that ZP transferred Rs 6,06,000/- from OSR account of Axis Bank A/C No 914020052804485 to personal account of Mr Bhola Pradhan, Accountant on 08.02.2016.

However, no relevant records were produced to the audit. Such wrongful

use of Zilla Panchayat fund is highly irregular and raises huge doubt on the expenditure from ZP fund.

VI. NON PRODUCTION OF RECORDS

1. South District Zilla Panchayat - Non Production of records - Rs 1,97,68,617/-

Keeping of important records in a safe custody and in proper manner is essential to maintain the transparency as well as accountability of public fund. It is the duty of Executing Authority to provide reasonable facilities to the audit for the discharge of his function and furnish fullest possible information required by him for any official account & report.

However, South District Zilla Panchayat refused to produce following records i.e. paid vouchers, bills, files, measurement books, etc. of the expenditure incurred before audit team. Therefore, the complete audit of South Dist. Zilla Panchayat could not be carried out.

B. AUDIT PARAS OF GRAM PANCHAYATS

The gist of some selected audit Observations of Gram Panchayats raised during the year 2018-19 under report is enumerated below:-

I. NON ADHERANCE TO RULES

1. Non Compliance to Rules on execution of works/supply of goods

The GPUs had executed various works, procured materials for works and also purchased different items for distribution to the general public as well as to run the office. Though, in execution of works and supply of materials the GPUs were not following the prevailing rules, guidelines and purchase procedures as prescribed by the Government. Some of the irregularities that were noticed during the test check of records by audit were:

- a) Most of the works were executed by GPUs instead of inviting tenders. Prior approval from the competent authorities for self execution of works was also not obtained.
- b) Purchase procedure, as laid in rules, were not followed for procurement of Stores for the works. Further, Quotations were also not invited to ascertain the lowest rates and payments were made in the name of President or member of Panchayat instead of firm's name.
- c) In most of the cases, Technical vetting was not obtained from the Technical Cell of respective BACs before execution of works. Also Work Registers were not maintained.
- d) Payments were released without creating vouchers in several cases.
- e) Clearance of vigilance Committee and labour clearance certificates were not obtained/ enclosed with the bills.
- f) Work/supply wise files were not created, hence approval and sanction could not be ascertained.
- g) Measurement books were not maintained in some GPUs.

Some of payments made for execution of works/supply of goods by various GPUs are given below:-

1.1. Assam Lingzay GPU

Sl. no	Particulars	Scheme	Cheque No./Date	Sanctioned Amount(Rs)
1.	RWSS Rong Rong source to Laxmi dara to Gauthali Gaon	FFC	004154/31.03.2016 004153/31.03.2016	4,00,000/-
2.	Construction of RGSK.	TFC/FFC	002185/15.06.2015 002188/14.08.2015	1,58,360/-
3.	Construction of RGSK.	BRGF	001017/11.07.2015 001018/11.07.2015	99,858/-
4.	MR for construction of protection wall at Saureny school.	TFC/FFC	001551/25.11.2014	2,50,000/-
5.	Payment made for supply of pipe to Saureny ward.	TFC/FFC	004693/17.03.2017	7,76,290/-
6.	Payment made for supply of pipe at Daring Linzgey school.	BRGF	001013/13.03.2015	2,12,055/-

1.2. Gnathang GPU

Sl. no	Particulars	Cheque No./Date	Scheme	Sanctioned Amount(Rs)
1.	Repair of cremation shed at Kupup	004581/02.09.2015 004582/02.09.2015	BRGF	1,04,527/- 1,93,210/-
2.	Construction of cremation shed at Gnathang.	004578/20.03.2014 004580/12.07.2014	BRGF	1,24,000/- 1,00,000/-
3.	Repair of drinking water source at Gnathang village.	004586/15.02.2016 004583/15.02.2016	BRGF	21,368/- 73,176/-

1.3. Kyongnosla GPU

Sl. no	Particulars	Cheque No./Date	Scheme	Sanctioned Amount(Rs)
1.	Development of play ground at 4 th mile.	062334/19.08.2014 062333/10.07.2014	BRGF	1,24,000/- 1,00,000/-
2.	Jhora training work at 7 th Mile.	062335/11.02.2015 062336/11.02.2015	BRGF	1,60,160/- 1,37,565/-
3.	Payment for repair of	069357/30.09.2014	TFC	2,60,000/-

Sl. no	Particulars	Cheque No./Date	Scheme	Sanctioned Amount(Rs)
	drains and construction of gallery cum shed at 4th mile JHS.	069361/09.03.2015		35,000/-

1.4. Nandok Saramsa GPU

Sl. no.	Particulars	Cheque No./Date	Scheme	Sanctioned Amount(Rs)
1.	Advance payment for construction of waiting shed at Upper Nandok Secondary School. Maintenance of waiting shed at Nandok School.	001594/08.01.2015 266104/16.04.2015	BRGF TFC/SFC	1,50,000/- 1,50,000/-
2.	Construction of Rural market.	265296/22.03.2016	TFC/SFC	2,00,000/-
3.	Payment for repair of Lower Nandok Jr. High School.	000522/14.03.2014	BRGF	1,20,000/-

1.5. Budang Kamarey GPU

Sl. no.	Particulars	Cheque No./Date	Scheme	Sanctioned Amount(Rs)
1.	Payment for supply of furniture.	000518/9.10.2013	TFC	1,89,620/-
2.	Payment for repairing of milk collection centre at Budang.	619423/27.02.2015	BRGF	2,00,000/-

1.6. Central Pendam GPU

Sl. no.	Particulars	Cheque No./Date	Sanctioned Amount(Rs)	Scheme
1.	Payment for distribution of dustbin and soap to Schools and I.C.D.S centre.	NIL/25.11.2014	2,00,000/-	TFC
2.	Payment for the work of electrification and extension of GPK.	NIL/03.07.2015	1,00,000/-	TFC

Sl. no.	Particulars	Cheque No./Date	Sanctioned Amount(Rs)	Scheme
3.	Payment for construction of parks and ground below VAC.	NIL/9.05.2016	2,00,000/-	TFC

1.7. Sumin Lingzey GPU

Sl. no.	Particulars	Cheque No./Date	Amount(Rs)
1.	Payment of holding Gram Sabha and purchase of stationery.	075041/23.04.2015	1,20,000/-
2.	Payment for holding awareness camp at Sumin School.	075042/14.05.2015	70,000/-
		Total	1,90,000/-

1.8. Khamdong GPU

Sl. no	Particulars	Date & Cheque No.	Source of fund	Amt of Adv(Rs)
1.	Fencing work at Budang Thangsing PS	211435/10.06.2014	TFC/ FFC	60,000/-
2.	Purchase of 50 nos of Iron Dust Bins	211449/22.10.2014	TFC/ FFC	2,00,000/-
3.	Purchase of table, cushion for GPK office	236180/29.01.2015	TFC/ FFC	20,000/-

2. Delay deposit of receipts

According to Sikkim Gram Panchayat Financial Rules 2003, all moneys received by or on behalf of the GPU shall be brought into Panchayat account without delay.

2.1. Gnathang GPU

Test check of records revealed that the amounts of grants received from RMDD were deposited in the bank account belatedly as under:

Sl. no	Cheque No./Date	Date of deposit	Amount(Rs)	No of Days
1.	310861/22.2.2017	24.3.2017	5,76,000/-	30 days
2.	310744/15.02.2017	24.3.2017	3,19,627/-	37 days

3. Rongey Tathangchen GPU - Improper maintenance of vouchers

Scrutiny of records for the period 2014-15 to 2015-16 revealed that the VAC had not prepared the vouchers in the prescribed format. The VAC, in many cases had only kept the bills of the suppliers/works in support of the payment. The challan indicating the materials claimed to have been supplied through the bills were also not available in the file.

Sl. no.	Scheme	Name of the work	Paid to	Chq no.	Amount(Rs)
1.	BRGF	Repair of toilet at community centre at Rongey Manidara.	Departmental	-	2,97,930/-
2.	FFC	Opening of Gym at GPU	Departmental	-	4,92,000/-

4. Chakung GPU- Expenditure from Discretionary grant Rs.48,000/-

State Government, on the recommendation of Third State Finance Commission, released fund of Rs. 48,000/- to GPU from net proceeds of the taxes of state government. The fund was released to GPU.

Further, Director, Rural Management and Development Department had directed vide letter no. 41/RM&DD/P dated 19/04/2017 to all Gram Panchayats, that the Discretionary Grant should be utilized on Natural Calamities, incentives to poor and BPL families on their medical aid, death etc.

However, it was revealed from records that necessary details of expenditure are not maintained in the GPU. Therefore, the expenditure is illegal and needs to be recovered by the panchayat and deposited into the fund immediately.

5. Purchase without calling quotation

As per the normal procedure, all purchases are to be made by inviting quotations atleast from three or more firms / suppliers from the market. However, the GPUs mentioned below purchased Furniture, Computers and its accessories including Scanner cum Xerox Machine from local supplier without calling quotations. This situation could not prove that the materials were purchased at a reasonable market rate. Thus, the expenditure made by the following GPUs does not confirm to the principle of financial propriety.

Hence the expenditure is irregular and in violation of the standing norms.

5.1. Chumbung GPU - Purchase for Rs. 3,58,225/-

SI no.	Particulars	Cheque No. and Date	Amount(Rs)
1.	Purchase of Office furniture and other materials	Dt. 28.04.14	1,71,725/-
2.	Purchase of Computer & its accessories like UPS, Scanner cum Xerox	Dt.29.06.2017	1,86,500/-
	Total		3,58,225/-

5.2. Mendogoan GPU - Purchase for Rs. 2,02,000/-

SI no.	Particulars	Amount(Rs)
1.	Purchase of Laptop Computer and Inverter	70,000/-
2.	Purchase of Stationeries and Office furniture	1,32,000/-
	Total	2,02,000/-

5.3. Samdong Kambel GPU- Purchase for Rs. 2,98,778/-

SI. no	Particulars	Cheque No. and Date	Amount(Rs)
1.	Supply of stationary by M/s Hukamchand & Sons,Siliguri	065619 / 29.06.2015	55,000/-
2.	Supply of stationary	020027 / 01.10.2015	93,591/-
3.	Supply of stationary	065613 / 29.9.2014	50,000/-
4.	Supply of furniture by M/s SS furniture to lower Samdong School.	071472 / 15.02.2017	1,00,187/-
	Total		2,98,778/-

5.4. Tumin GPU- Purchase for Rs. 1,63,000/-

SI. no	Particulars	Cheque No. and Date	Amount(Rs)
1.	Supply of stationary	0218821 / 25.01.2017	68,000/-
2.	Reimbursement bill	028956 / 29.04.2016	45,000/-
3.	Purchase of pipes fittings	0218822 / 22.01.2017	50,000/-
	Total		1,63,000/-

II. UNADJUSTED ADVANCES

1. Drawl of advance regarding

Advance Register is an important record to pursue the advances given by Gram Panchayat for various purposes. However, Audit noticed that the GPUs were in practice of giving payment in advance without maintaining any records of advance and resolution by Gram panchayat. Also most of the advances were drawn in favour of the Panchayat Presidents, members of Panchayat, RDA and other office staff. In few cases, advance was given even to the private parties for supply of goods. It was also noticed that some of the advances were adjusted but it was very difficult to find out whether the same was adjusted or not due to improper maintenance of records.

Audit advised to the GPUs to reduce practice of payments in advance unnecessarily except in few genuine cases, but to pay after obtaining bills/invoices on completion of supplies/works.

Some of the advance payment made by GPUs are given below:

1.1. Gnathang GPU

Sl. no	Particulars	Cheque no./date	Amount(Rs)
1.	Advance payment for construction of cremation shed at Zaluk	266441/27.11.2014	1,50,000/-
2.	Advance payment for observation of Swachh Bharat	271637/29.9.2014	40,000/-
3.	Advance payment for repair of cremation shed at Sherethang.	266447/8.4.2015	1,00,000/-

1.2. Kyongnosla GPU

Sl. no	Particulars	Cheque no./date	Amount(Rs)
1.	Advance payment for source development work at 4th Mile	069363/05.05.2015	1,50,000/-
2.	Advance payment for repair of drains and construction of gallery cum shed at 4th mile JHS.	069357/30.09.2014	2,60,000/-

Sl. no	Particulars	Cheque no./date	Amount(Rs)
3.	Advance payment for development of play ground at 4th mile JHS.	062333/10.07.2014	1,24000/-

1.3. Nandok Saramsa GPU

Sl. no	Particulars	Cheque no./date	Amount(Rs)
1.	Advance payment for repair of Lower Nandok Jr. High School.	000522/14.03.2014	1,20,000/-
2.	Advance payment for construction of waiting shed at Upper Nandok Secondary School.	001594/08.01.2015	1,50,000/-
3.	Advance payment for water source development.	001600/14.08.2015	1,00,000/-

1.4. Central Pendam GPU

Sl. no	Particulars	Cheque no./date	Amount(Rs)
1.	Advance payment for electrification and extension of GPK.	Not mentioned/03.07.2015	1,00,000/-
2.	Advance payment for grill fixing and electrification of GPK.	Not mentioned/21.8.2015	1,50,000/-
3.	Advance payment for repair of VAC public toilet.	Not mentioned/09.05.2016	1,00,000/-
4.	Advance payment for construction of park and ground below VAC.	Not mentioned/09.05.2016	2,00,000/-
5.	Advance payment for installation of solar street light at 2 wards.	Not mentioned/24.02.2017	4,00,000/-
6.	Advance payment for the fencing of Cheuribotey J.H.S	Not mentioned/01.03.2017	1,27,000/-

1.5. Sumin Lingzey GPU

Sl.no	Particulars	Cheque no. / Date	Amount(Rs)
1.	Advance payment for repair of RWSS at Sumin under 14	-	1,78,000/-

Sl.no	Particulars	Cheque no. / Date	Amount(Rs)
	th FC		
2.	Advance payment for repair of VAC toilet	-	90,000/-
3.	Advance payment for purchase of dustbin and installation at road side of Sumin Lingzey.	208704/05.02.2016	2,60,000/-

1.6. Dung Dung Thasa GPU

Sl.no	Particulars	Cheque No./date	Amount(Rs)
1.	Advance payment for making sign board of G.V.K	151875/12.06.2015	62,000/-
2.	Advance payment for renovation of crematorium shed.	005859/15.12.2014	1,98,344/-

1.7. Khamdong GPU

Sl.no	Particulars	Cheque No./date	Amount(Rs)
1.	Const. of two room milk collection centre at Beng ward	011312/4.6.2014	2,24,000/-
2.	Const of fencing work at SMGSSS compound, Budang ward	011315/03.04.2015 011317/28.07.2015 011321/25.02.2016	1,20,000/- 60,000/- 20,000/-
3.	Const of truss roof at GPK compound	011320/28.07.2015	90,000/-

1.8. Simik Lingzey GPU

Sl.no	Particulars	Cheque No./date	Amount(Rs)
1.	Const. of crematorium shed at Lingzey	1276717/7.4.2014	1,27,000/-
2.	Renovation of GPK	1276718/17.6.2014	1,10,000/-
3.	Repair of toilet & WS fitting at Simik Lingzey JHS	033204/6.12.2014	1,150,000/-
4.	Repair & extension of RWSS at Sapkota gaon	065893/10.06.2014	1,00,000/-

1.9. Sirwani Chisopani GPU

Sl.no	Particulars	Cheque No./date	Amount(Rs)
1.	Advance Payment for fencing of compound at Dokay Chisopani.	005786/03.7.2015	50,000/-

III. NON PRODUCTION OF RECORDS

According to the prevailing Sikkim Gram Panchayat Financial Rule, it is not sufficient that an officer's account should be correct to his own satisfaction. A disbursing Officer has to satisfy not only him, but also the audit, that a claim which has been accepted is valid, that a voucher is a complete proof of the payment which it supports, and that the account is correct in all respects. It is necessary that all account should be so kept and the details so fully recorded as to afford the requisite means of satisfying any enquiry.

It is further essential that the records of payment must be clear and self contained to be producible as satisfactory and convincing evidence of facts, if required, in a court of law. However, the following GPUs failed to produce required records to the audit:

1. Assam Lingzay GPU - Non Production of payment vouchers for Rs 2,92,383/-

Sl.no.	Particulars	Cheque no. and date	Amount(Rs)
1.	Payment for construction of ITFT classroom hall.	105212/ 25.11.2014	51,000/-
2.	Payment for taping of new pipe line from Daring Linzgay school.	001012/ 13.03.2015	74,690/-
3.	Payment to Manokamana Enterprise for furnishing of GPU.	001017/ 11.07.2015	71,370/-
4.	Payment for purchase of Stationeries.	518003/ 18.09.2014	54,073/-
5.	Payment on account of carrier counselling and minor expenses.	518001/ 01.06.2016	41250/-

2 Budang Kamarey GPU - Non Production of payment vouchers

Sl. no.	Particulars	Cheque no. and date	Amount(Rs)
1.	Advance for construction of	619421/	1,00,000/-

Sl. no.	Particulars	Cheque no. and date	Amount(Rs)
	temporary bridge at Lower Pachak and Kamerey ward.	19.06.2014	
2.	Final payment for construction of two log bridge at Lower Pachak and Kamerey ward.	619422/ 25.09.2014	1,23,929/-
3.	Advance payment for repairing of milk collection centre at Budang.	619423/ 27.02.2015	2,00,000/-
4.	Payment a/c reimbursement claim for purchase of emergency items.	624024/ 18.08.2016	29,535/-
		Total	4,53,464/-

3. Central Pendam GPU - Non Production of payment vouchers

Sl.no	Particulars	Cheque no. and date	Amount(Rs)
1.	Payment for payment of IHHL in six wards.	421228/ 22.09.2016	7,50,000/-
2.	Payment to Vice President for payment of IHHL to 12 nos. Of household.	421202/ 26.03.2016	1,44,000/-
3.	Amount transferred to HDFC A/c, details and purpose of payment not found.	220359/ 16.01.2017	1,00,000/-
		Total	9,94,000/-

4. Sumin Lingzey GPU

On Audit scrutiny GPU was unable to produce the following records/documents.

- ✓ Cash book of Own resource, VWSC, and BRGF for financial year 2014-15, 2015-16, 2016-17.
- ✓ All payment vouchers of Own resource, VWSC, and BRGF schemes for financial year 2014-15, 2015-16, 2016-17.
- ✓ Salary Audit Register in spite of payment of VAA salary for financial year 2014-15, 2015-16, 2016-17.
- ✓ Bank Statement of BRGF & VWSC were not provided by GPU.

5. West Pendam GPU - Non Production of payment vouchers

Sl.no	Particulars	Cheque no. and date	Amount(Rs)
1.	Payment for construction of RWSS at middle Sakhu with poly pipe.	16.04.2016	2,35,000/-
2.	Advance Payment for electrification work.	007008/ 5.01.2015	1,20,000/-
3.	Payment for making of Annual Magazine.	007011/21.08.2015	1,00,000/-
4.	Payment for electrification at school.	007010/3.08.2015	97,422/-
		Total	5,52,422/-

6. Dung Dung Thasa GPU - Non Production of payment vouchers

Sl. no	Particulars	Cheque no. and date	Amount(Rs)
1.	Payment for Repair and maintenance of G.P.U at Ramitey.	055731/09.01.2017	1,04,000/-
2.	Payment for purchase of dustbin and making of sign board.	055648/13.6.2016	2,00,000/-
3.	Payment for purchase of poly plastic pipe for five wards.	003422/17.04.2014	4,00,000/-
4.	Payment for repair of panchayat bhawan.	050855/29.09.2014	4,00,000/-
		Total	11,04,000/-

7. Sirwani Chisopani GPU- Bank Statement not provided

Despite the requisition was issued in time, the GPUs could not make available Bank Statement of BRGF Scheme at the time of audit.

8. Samdong Kambal GPU- Non furnishing of files

The Samdong Kambal GPU had not shown files related to BRGF, TFC, Schemes, scrutiny of records revealed that there was theft at Samdong Kambal GPU on 5th may 2018, so neither files and vouchers nor the Cashbook was made available to Audit. Only record for purchase of iron dustbin was found and the same are also not in use resulting in huge loss to Govt. Exchequer. Details are given below:

Sl. no	Particulars	Scheme	Cheque No. and Date	Amount(Rs)
1.	Reimbursement of expenditure incurred on installation of iron dustbin along road side.	TFC	065625/29.09.2015	3,97,000/-
2.	Supply bills of Iron dustbin by M/s DP Hardware, Khasay	TFC	020027/01.10.2015	2,98,925/-
	Total			6,95,925/-

No FIR seems to have been lodged for the case which is necessary in such case.

9. Non production of records

The following GPUs under Parakha BAC incurred a sum of amount as shown against each GPU below during the period covered by the DLFA from the funds released by the State as well as by the Centre Government for various purposes.

However, GPUs were unable to produce records like files, paid vouchers & bills of the expenditure incurred for examination. Non production of records cast doubt on proper utilization of the scheme fund. It is the duty of Executive Authority to extend all assistance to the auditors to facilitate examination of audit of accounts.

As per section of DLFA - 2012, requisition list were issued to the concerned authority for early production to audit for verification, but no response/reply have been received by the DLFA from the GPU on the observation raised by the auditors in the Preliminary Observation Statement (POS) till date i.e. January 2019. Non Production of record to audit is a serious lapse on the part of GPU. It shows complete carelessness of GPU.

9.1. Rewa Machong GPU - Non production of records Rs25,43,705/-

The GPU did not produce records like files, paid vouchers & bills of the expenditure incurred for examination to the audit.

9.2. Linkey Parakha GPU - Non production of records Rs44,000/-

The GPU did not produce records like files, paid vouchers & bills of the expenditure incurred for examination to the audit.

9.3 Latuk Chochenpheri GPU -Non production of records Rs1767079/-

The GPU did not produce records like files, paid vouchers & bills of the expenditure incurred for examination to the audit.

IV. DIVERSION OF FUND

1. Khamdung GPU -Diversion of FFC fund

On scrutiny of records revealed that the GPU received an amount of Rs13,90,000/- under FFC grant during the year 2015-16. Out of the total received grant, an amount of Rs13, 65,000/- was spent at VAC office furnishing and other works as detailed below:

Sl. no	Particulars	Cheque no.	Amount(Rs)
1.	Painting of GPK office	236184/10.6.2015	95,000/-
2.	Purchase of requisite items for new GPK	236186/25.6. 2015	3,00,000/-
3.	-do-	236187/28.7. 2015	3,00,000/-
4.	Const. of 3 unit toilets at GPK	236189/2.12. 2015	2,50,000/-
5.	Partition & tile flooring GPK office	027032/15.3. 2016	2,20,000/-
6.	Addl exp on the new GPK	007334/14.10. 2015	2,00,000/-
		Total	13,65,000/-

The fund was provided to the GP for development of basic amenities for the benefit of general public but the same was spent for painting, purchase of office furniture and furnishing of GPK office by contravening of FFC guidelines. Further, payments were made to the Panchayat President/Secretary who had submitted cash memos for such huge amount and most of the cash memos were not even certified by the authority concerned. Neither quotation was called for supply of neither materials nor

tender floated for execution of the works to ascertain the lowest rate. Such diversion of fund is a serious lapse on the part of GPU. The purpose for which the fund was provided was totally defeated in the case. There is serious violation of FFC Fund guidelines.

V. WASTEFUL EXPENDITURE

1. Assam Lingzay GPU - Wasteful expenditure of Rs.0.81 lakhs for construction of Upadhyaya Grameen Kaushalya Yojana (ITFT) classroom.

From the source, Audit came to know that the below mentioned classroom was constructed on terrace of GPU building and within six months the classroom was dismantled, as no training class for the said scheme (skill development programme ITFT) was conducted there. During site visit, it was found that recently Rajiv Gandhi Sewa Kendra (RGSK), is constructed in the same place funded under TFC and SFC fund. Lack of proper planning on the part of GPU resulted in the expenditure to be wasteful.

Sl.no	Particulars	Cheque No./ Date	Amount(Rs)
1.	Payment for construction of ITFT classroom	105212/25.11.2014	51,000/-
2.	Payment for construction of ITFT classroom	105213/18.12.2014	30,000/-
	Total		81,000/-

VI. NON UTILIZATION OF FUND IN TIME

1. Khamdong GPU - Under utilization of grants

On scrutiny of cash book and bank statement, it was found that at the end of every financial year, the Gram Panchayat Unit had kept a huge amount of balance(fund) that was meant for developmental purposes as shown below:

Sl. no	Fund	Financial Year	Balance as on 31st March of the financial year
1.	TFC/FFC	2014-15	Rs. 444167/-
2.	SFC	2016-17	Rs. 412189/-

Delay in utilization of Departmental funds resulted in deprival of general public from availing the benefits within the proposed time frame.

VII. INADMISSIBLE EXPENDITURE

1. Rewa Machong GPU - Excess expenditure of administrative component than prescribed limit under 14th FC Rs3,78,393/-

As per FFC grants guidelines only 10% of the total fund allocation can be utilized towards the administrative component & technical support.

However, scrutiny of records revealed that GPU utilized Rs3,78,393/- instead of Rs1,90,841/- from the total FFC funds allocated during the period covered by the DLFA. Exceeding of prescribed limit of 10% is highly irregular and against the scheme guidelines.

The reasons & circumstances under which the excess expenditure was incurred were not replied to the DLFA till January 2019.

VIII. IRREGULARITIES IN EXECUTION OF WORKS

1. Rewa Machong GPU - Doubtful execution of work "Repair of RWSS at Machong PHC Rs1,50,000/-

While going through the file & records regarding the work **"Repair of RWSS at Machong PHC"**, it was found that Assistant Engineer, Parakha BAC on 31.10.2015 in the note sheet had mentioned that the new water supply work has already completed under PMLAD fund and NOC, completion report, etc had been submitted for the same work.

However, GPU executed the same work from the TFC fund in 2015 - 16 amounting to Rs 1,50,000/- leading to duplicacy of work & unnecessary expenditure of fund which is highly objectionable.

IX. MISCELLANEOUS

There are some other irregularities observed during the audit which do not come under the above categories.

1. Kopibari GPU/ Bhusuk Naitam GPU/Simik Lingzey GPU - Improper transfer of charges from relieved officials

The files and records of various payments during the period of audit were not available in the VAC and it was stated that on transfer of officials, the relieved person did not handed over some of the files and records to the relieving official. The G.P. authority could not ensure proper transfer of charge between the two officials before issue of Relieving Order. The VAC may ensure proper handing and taking over of charges while on transfer of any staff from their institution in future.

2. Gnathang GPU/ Kyongnosla GPU/ Nandok Saramsa GPU - Under utilization of service of PAA

Although the Panchayat Accounts Assistant was appointed & posted in the VAC and he has been paying his monthly emoluments by the GPU, though the service of PAA was not properly utilized. During the period of audit i.e. 2014-15 to 2016-17, the Sr. VAA/RDA was looking after all the accounting works including maintenance of primary books of accounts and PAA was entrusted with other works.

However, as per the instruction of Government, all the works relating to accounts should be handed over to the concerned PAA. The service of PAA may be utilized in future as instructed.

3. Sirwani Chisopani GPU - Loss of interest on funds kept in current account

On test check of records by audit, it has come to know that the GPU is in practice of keeping funds in current account, thereby causing loss of interest component in GP fund. In this regard, it is advised to maintain interest bearing accounts such as savings accounts in future.

4. Bongten Sapong GPU - Damage of GPU and loss of records due to natural calamity

It was informed by the GPU that GPK was swept away by landslide and

records and registers were damaged. Hence, no records were produced to Audit for verification.

As per Section 18 of the Sikkim Local Fund Audit Act, 2012 regarding Defalcation or loss in money or stores to be reported by the Executive Authority. And as per sub para (1), whenever any defalcation or loss in money or stores of a local authority is discovered the fact shall be promptly reported by the Executive authority to the Director and to the Controlling Authority giving in detail the circumstances which led to such defalcation or loss.

Note:- In this sub-section Controlling Authority means the Head of the Department concerned. And as per sub para (2), On receipt of a report under sub-section (1), the Director shall immediately conduct or cause to be conducted a special audit of the accounts of that local authority as he considers necessary depending upon the magnitude of such defalcation or loss provided that nothing in this section shall prevent the local authority from taking criminal proceedings against any person suspected of, or involved in, any defalcation or loss of money or stores, where such a course is considered expedient. However, no information was provided to the Director LFA regarding such loss neither by the Executive Authority nor by the Controlling Authority i.e., Head of Department i.e., Rural Management and Development Department.

C. AUDIT PARAS ON MGNREGA SCHEME

I. NON-PRODUCTION OF RECORDS

The Panchayat Raj Bodies provide certain basic civic infrastructure and services. They also perform certain regulatory functions. They also prepare plans for economic development and social justice. With the rise in demand for services, the functionaries need to have effective financial management skills and accountability practices. All these functions would be reflected on the record when they were accounted for as per the provisions contained in the Comptroller and Auditor General (C&AG) rules together with the local rulings relating to Local variation in accounts procedure. These initial accounts are to be kept ready and should be produced to Audit for verification. Then only the transparency in incurring of public money and their utilization for the benefit of the General Public can be reasonably judged.

The financial health of an institution depends upon the quality of the records that are being maintained to show the accountability of the financial transactions that occur in the institution. The provision under Rule 6 of Sikkim Local Fund Audit Act, 2012 is clear that the onus for production of records to audit lies with the Executive Authority of the institution. Though requisition made prior to auditing and also on the spot of audit, the following records of MGNREGA scheme were not produced to the audit by the Executive Authorities and resulted in inaccessibility of the records. Non produced records are stated below BAC wise;

1. Nandok BAC

- a) Files and other records relating “payment towards supply of computers & T.A. honorarium on lump sum” Rs.4,78,588/-
- b) Files and other records relating to “Reimbursement for repairing of computers & supply of Printers” Rs.1,15,084/-
- c) File and other records relating to “1% contingency bill payment” Rs. 1,49,000/-

2. Duga BAC

- a) Bank Statement and Receipt & Payment Statement
- b) Files and other records relating to Admin. Expenses, contingency expenditure of MGNREGA

3. Khamdong BAC

- a) Bank Statement and Receipt & Payment Statement
- b) Files and other records relating to Admin. Expenses, contingency expenditure of MGNREGA

4. Hee-Martam BAC - Non production of records Rs2,33,100/-

In the year 2016 - 17, Hee-Martam BAC incurred a sum of Rs233100/- from the contingency provision of previous financial year. However, BAC did not produce records like files, paid vouchers & bills of the expenditure incurred for examination. Requisition list were issued vide Requisition Slip vide no - 01/HM/BAC dated 04.07.2018 to the concerned authority for early production but till date (January 2019) records were not furnished to audit for verification.

Non production of records, documents, vouchers and necessary information is a serious lapse on the part of GPU. The situation raises doubt on proper utilization of fund.

5. Hee - Martam - Reimbursement claim of Rs77,662/-

Scrutiny of records of BAC revealed that a sum of Rs77,662/- has been released to BDO as reimbursement vide cheque no 006396 dated 18.02.2016. However, proper bills were not produce to support the payment. The payment was made on simple hand receipt which is highly irregular and objectionable.

Audit team has not satisfied that a claim which has been accepted is valid due to lack of proper documents. The payments so released must be clear & convincing evidence of facts.

Till January 2019, BAC did not produce proper bills in support of payment

for Rs77662/- to the DLFA.

II. INADMISSIBLE EXPENDITURE

As per MGNREGA Operational Guidelines 2013 para No. 12.5.6(xiii) "Contingency Expenditure", can be booked for the following activities under the contingency expenditure head:

- i. Ex-gratia Payment
- ii. Medical Treatment
- iii. Hospitalisation

However, on scrutiny of accounts of MGNREGA, it was noticed that the BACs were in practice of incurring expenditure from contingency for non permissible activities. The BAC wise details of expenditure is furnished below:

1. Khamdong BAC

- i. Rs.75,000/- during 2014-15
- ii. Rs. 39,000/- during 2015-16 and
- iii. Rs. 50,000/- during 2016-17

The above expenditure incurred by BAC is inadmissible under MGNREGA norms.

2. Nandok BAC

- i. Rs.7,49,000/- during 2015-16 and
- ii. Rs. 1,99,150/- during 2016-17

The information of expenditure is based on the cashbook and Xerox note sheet provide to audit. The files of contingency expenses not provided to audit. However, the above expenditure amounted to have been incurred on non-permissible activities.

3. Parakha BAC - Irregularities in expenditure from contingencies Rs6,78,853/-

Scrutiny of records at Parakha BAC revealed that a sum of Rs678853/- has been released towards the non permissible expenditure like repair of approach road at BAC, TA & Internet charges of APO, supply of materials, furniture, stationary etc.

Incurring of expenditure towards non permissible activity is highly irregular & against the scheme guidelines. Incurrence of public fund on non - permissible items of expenditure is a serious lapse on the part of executive authority.

III. NON- REMITTANCE OF DEDUCTIONS

1. Nandok BAC - Delay in deposit of Government Revenue

It was noticed during the audit that various deductions/recoveries affected from the work bills were not remitted or a part of them only were remitted to the Government account in spite of statutory obligation/provision (which also include penalty as well as prosecution for non-adherence) to remit the same to Government account within a prescribed time. On scrutiny of bills, Cash Book and bank statements of 07 GPUs, it was revealed that although the payments were made to suppliers on supply of materials, however, the taxes, viz., VAT, CESS, Forest Royalty, deducted from the bills were not deposited immediately into the Government account but remitted once or twice in a year by consolidating taxes of various bills.

The BAC must remit all the revenues into Govt. Account every month and Cash Book needs to be checked and certified every month. The above situations may lead to excess expenditure by utilizing the revenue portion of fund on finding the balance fund in bank account. Delay in crediting Govt. Revenue results in loss of likely interest on Government investments.

IV. NON ADHERENCE TO RULE

1. Chumbung BAC MGNREGA - Purchase without calling quotation

As per norms, all purchases may be done through calling quotation by wide publicity. Audit observed that the BAC had purchased computers from local suppliers without giving wide publicity and even obtaining any quotations from local dealers.

Details are given below:

Sl.no	Particulars	Cheque and Date	No.	Amount(Rs)
1.	Purchase of Laptop / Desktop Computer, UPS, HP laser printer and Wi-Fi etc	025276/16.12. 2014		2,40,000/-
2.	Reimbursement bill of APO for purchase of office furniture and room partition of APO.			50,000/-
3.	Reimbursement bill a/c of purchase of office Cartiges, Xerox etc	019383/16.10. 2016		70,000/-
	Total			3,60,000/-

2. Chumbung BAC- Transit Permit not furnished

The BAC undertook the work of construction (MGNREGA) scheme. Scrutiny revealed that the BAC had purchased sand, stone chips, timber, stone boulders, etc from local suppliers without obtaining the transit permit issued by Forest Department. But the deduction of royalty has been made on the work by the BAC in their annual payment of revenues. This situation indicates that the material was either available on site or was not transported to the work site. Hence, procurement of materials without necessary transit permit and other levy is illegal and cast doubt on execution of works at site.

3. Chumbung BAC MGNREGA- Non utilization of GRS services

Under the scheme MGNREGS, GPK appointed GRS to look after the work executed in GP under the scheme, GRS was responsible to maintain all the register and the records related to works. Unfortunately the concerned GRS appeared only for a while and provided few records to the audit party during the audit. During the audit of GP it was seen that GRS was unaware of progress of work, estimate, expenditure incurred etc. It is suggested that relevant functionaries of the GPUs/BAC at least appear before the audit once during the audit session for addressing any queries appearing in audit. Appropriate corrective steps may be taken to utilize the service of GRS as per the terms of the appointment. Such situation leads to mobility to fix responsibility on any one about quality and quantity of work.

V. WASTEFUL EXPENDITURE

Government have issued instructions through various orders and also incorporated in the statutes of Local Bodies, the various items on which public money can be expended and the principles to be adhered to while expending on such items. It was noticed during audit that the funds were several times incurred without adhering to the laid down principles leading to the wasteful expenditure of public money. All the cases of such wasteful expenditure observed during the audit could be avoided.

1. Nandok BAC -The expenditure incurred for reimbursement of office stationery and other expenditure without following proper purchase procedure Rs 1,99.621/-

The details of such expenditure from the MGNREGA fund for the year 2015-16 & 2016-17 is shown below:-

2015-16

Sl.no	Particulars	Cheque No &date	Amount(Rs)
1.	Reimbursement for printing materials, xerox, Stationary	277936/13.5.2015	13750/-
2.	Reimbursement for conducting meeting	277904/07.08.2015	12000/-
3.	Reimbursement for printing materials, xerox, Stationary	024473/8.09.2015	15340/-
4.	Reimbursement for stationery	024484/12.01.2016	24000/-
5.	Reimbursement for office stationery	024485/24.02.2016	18220/-
6.	Reimbursement for office stationery	037461/30.03.2016	7000/-
7.	Reimbursement for computer repairing etc.	037462/30.03.2016	22700/-
8.	T.A, bills of officers & staff	037464/30.03.2016	12160/-

2016-17

Sl.no	Particulars	Cheque no & date	Amount(Rs)
1.	Reimbursement for printing materials, xerox Stationary	024467/19.08.2016	13470/-
2.	Reimbursement for computer accessories	037470/19.09.2016	16850/-
3.	Reimbursement for office stationery	037472/28.09.2016	17855/-
4.	Reimbursement for conducting	669730/09.01.2017	5476/-

Sl.no	Particulars	Cheque no & date	Amount(Rs)
	meeting		
5.	Reimbursement for printing, binding, Xerox etc.	000451/11.03.2017	20800/-

It is not believable how an officer or staff of any office can spend such huge amounts frequently from his/her pocket for official purposes and recoups by way of reimbursement.

D. AUDIT PARAS ON HRDD / GRANTS IN AID

I. UNADJUSTED ADVANCES

1. Medical Advance Register not maintained

The BAC is in practice of giving Medical Advances to the teachers but till date the Medical advance register is not maintained. Due to non maintenance of Advance register, adjustment of following advances couldn't be ascertained.

Such practices are very irregular and raise doubt on whether the amount is actually spent for medical purpose by the said Government servant or the public money is recovered from the Government servant.

1.1. Duga BAC

Sl. no.	Particulars	Cheque no./date	Amount(Rs)
1.	Medical advance to Shri. I.K Gurung, H.M of Samsing Suntaley Primary School	49861/06.01.2015	50,000/-
2.	Medical advance to Shri. Om Kumar Pradhan, P.R.T of Bordang J.H.S	420276/30.05.2016	50,000/-
3.	Medical advance to Shri.Shurya Prasad Kherel, P.R.T, of Singleybong J.H.S	116138/20.07.2016	50,000/-

1.2. Khamdong BAC

Sl. no	Particulars	Cheque no./date	Amount(Rs)
1.	Medical advance to Shri. C.B Lohagan, P.R.T of R. Chotang Primary School	208351/19.06.2015	50,000/-

1.3. Nandok BAC

Sl. no	Particulars	Cheque no./date	Amount(Rs)
1.	Medical advance to Pauline Pulger (G.T)	273952/30.04.2015	50,000/-
2.	Medical advance to K.B Gurung (PRT) of Tathangchen JHS	535758/21.01.2014	50,000/-
3.	Medical advance vide Vr. No 2c	273952/30.04.2015	50,000/-

Sl. no	Particulars	Cheque no./date	Amount(Rs)
	dt. 01.05.2015		
4.	Medical Advance to Neeta Basnet PRT of Lower Nandok School	097261/26.11.2015	2,00,000/-
5.	Medical Advance to Binay Kr. Chettri Lower Lingding JHS.	747011/25.05.2014	50,000/-
6.	Medical Advance to Mamta Awasty, PRT of Upper Syari JHS	257617/03.08.2015	50,000/-

II. NON ADHERENCE TO RULES

1. Excess Requisition of Fund for (Grants-in-Aid) Salaries

1.1. Chumbung BAC and GPUs under Chumbong BAC

During the Audit period it was observed that, quarterly requisition for resource to meet up the salaries of HRDD Staffs under PRIs were made. However, previous balance at the bank was not properly checked resulting in excess requisition of resource. Further except Zoom GPU all other GPUs under Chumbong BAC have deposited such a huge amount in the **current account** without earning any interest till the date of Audit. In fact the GPU could have kept the fund in an Interest bearing mode so that Interest portion could have been used as own source of revenue. Further it is noticed that the Samsing Galling GPU had kept **Rs.9,00,516/-** under Grants-in-aid HRDD (SBS Sorang in Current Account) till the date of audit after up gradation of the school to secondary level in the year 2016-17.

The practice leads to blockage of financial resources in bank. The resource remained idle in the bank which caused unnecessary load to the state exchequer. In such situation GPU should immediately verify the balance resources and report to the fund providing agencies/office for taking necessary action to shift the fund to other GPUs.

The GPU is entrusted with the payment of salaries of teachers up to the level of Jr. High Schools with grants-in-aid fund received from Human Resource Development Department (HRDD) through RMDD. But the primary records like SAR, CAR, Bill Register, monthly financial statement and CASHBOOK were not maintained in the GPU. These records are very essential for financial management.

1.2. Nandok BAC- Excess requisition of fund for salary of teachers

On scrutiny of cash book and financial statement, it was found that requisition of resource was submitted in quarterly basis to meet up the expenditure for saaries of teachers & other Staffs of HRDD.

However, previous balance at the bank was not taken under consideration while preparing such requisition which resulted in excess resources with a huge bank balances at the end of every financial year.

III. NON PRODUCTION OF RECORDS

Keeping important records in a safe custody and in proper manner is essential to maintain the transparency as well as accountability of public fund. It is the duty of Executing Authority to provide reasonable facilities to the audit for the discharge of its function and furnish fullest possible information required by audit & report with respect to the expenditure under GPUs and Zilla Panchayats.

1. Nandok BAC

During the course of audit, BAC did not produce records like payment vouchers, Advance register etc., to the audit team for scrutiny. In fact, whereabouts of records prior to 2016 - 17 is not known to the BAC which is highly irregular and irresponsible.

This indicated that no priority was given in bookkeeping & maintenance of mandatory records of HRDD which is highly irregular.

2. Rakdong Tintek BAC - Financial Statement provided by Rakdong Tintek BAC in relation to grants-in-aid under HRDD

The financial statement provided by BAC in relation to Grants-in-aid under HRDD is quite haphazard and disorderly maintained. They were not understandable from any angle. Neither the opening balances nor the closing balances match to each other. The GPU is also not able to submit the bank statement for the period under Audit nor Bank Pass Book, to verify the authenticity of accounts furnished in the statement. The BAC is instructed to maintain proper and updated books of accounts and relevant statement. The BAC has to examine and close the books of accounts every month so

that proper and correct details of receipt and expenditure of fund is ensured in their annual financial statement.

IV. EXCESS PAYMENT

1. Chongrang BAC - Excess medical reimbursement of Rs 50,000/-

Health Care, Human Services & Family Welfare Department, Government of Sikkim, Gangtok vide Notification February 2015, the maximum permissible re-imbursement for dependent of the Government Employees is Rs200000.00 (two lakhs only).

However, scrutiny of records revealed that a sum of Rs250000/- has been released to Shri Thendup Lepcha, Teacher of Gangyap Secondary School for his daughter's treatment at New Delhi. Details of payments as follows -

1. Advance - Rs50000/- vide cheque no - 655224 dated 25.09.2015
2. Final - Rs200000/- vide cheque no - 655268 dated 05.01.2016

Total - Rs250000/-

The excess payment of medical re-reimbursement than prescribed limit is highly irregular. The BAC is required to explain the situation due to which there was excess payment. The payment is in violation of the standing rules, hence may be recovered from the Govt. Employee and credited into Government account.

V. DIVERSION OF FUND

1. Gyalshing & Parakha BAC - Diversion of HRDD fund Rs 400287/-

Funds received from the HRDD (Education) were basically meant for the disbursement of pay & allowances, arrears, medical reimbursement etc for teachers.

Analysis of records at 12 - Singyang-Chumbung GPU & 21 - Rewa Machong GPU under Gyalshing & Parakha BAC respectively revealed that a sum of Rs400287/- has been utilized towards the non permissible activities. Details are shown in the table below:

Sl.no	BAC	Particulars	Cheque Date	No &	Amount (Rs)
1.	Gyalshing	Painting & minor repairing of GPK	176132/ 03.02.2015		1,30,372/-

Sl.no	BAC	Particulars	Cheque No & Date	Amount (Rs)
2.	-do-	Construction of mid day meal kitchen at Singyang Primary School	051128/ 02.03.2016	1,00,000/-
3.	Parakha	Purchase of furniture for GPU Rewa Machong	577730/577160/ 577801/ - 08.11.2016	1,69,915/-
Total				4,00,287/-

Diversion of HRDD funds towards non permissible activities is highly irregular and objectionable. Funds released by the Government for particular purpose is not permitted for diversion, for any purpose other than, for which approval was accorded in the budget.

PART - II

Municipalities

SCOPE OF AUDIT

1. The Local Fund Audit Division verifies the following aspects during the course of post audit of the Municipalities.

- a. Whether the amounts collected like taxes, fees etc., by the Municipalities were properly accounted for with full details in the books of accounts of the Municipalities concerned.
- b. Whether adequate care has been taken in periodical checking up of the funds with Treasury or Bank.
- c. Whether expenditure incurred is provided for in the Budget of the Municipalities and duly sanctioned by the competent authority under the relevant rules and executive instructions issued by the Government.
- d. Whether funds are utilized only for the permitted purposes prescribed under the Sikkim Municipalities Act, 2007 Rules.
- e. Whether the procedure prescribed by Government in incurring the expenditure/payments made is properly followed and accounted for with due classification in the books of accounts of the Municipalities.
- f. Whether vouchers for the expenditure incurred were maintained.
- g. Whether grants received from different sources were properly accounted for and utilized for the purposes for which they were meant.

INSTITUTIONS AUDITED

2. Audit of following Municipalities was conducted in the year 2018-19 :-

Sl. No.	Name of Municipality	Financial Years Audited
1.	Gangtok Municipal Corporation	2015-16, 2016-17
2.	Gyalshing Municipal Council	2014-15, 2015-16, 2016-17
3.	Jorethang Municipal Council	-do-
4.	Namchi Municipal Council	-do-
5.	Mangan Nagar Panchayat	2014-15, 2015-16, 2016-17
6.	Rangpo Nagar Panchayat	-do-
7.	Singtam Nagar Panchayat	-do-

SOURCES OF FUND OF THE MUNICIPALITIES

3. The Municipalities are provided grants by the State / Central Governments to implement the schemes entrusted to them and also for over all development of the area under their jurisdiction.

The Year wise Fund Receipts and Payments of the Municipalities for the year 2015-16 to 2016-17 are exhibited in the Bar Graph.

RECEIPTS AND PAYMENTS

4. The Receipts and Payments are inclusive of the various grants received from Central and State Governments during the year 2014-15, 2015-16 & 2016-17 by the Nagar Panchayats audited during the period. The details of gross Receipts and Payments are shown in the **Annexure No. 4** with reference to the Nagar Panchayats.

4.1 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Nagar Panchayats audited during the year for the financial year 2014-15 are Rs.5,61,92,110 and Rs 4,09,33,408 respectively.

4.2 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Nagar Panchayats audited during the year for the financial year 2015-16 are Rs.6,30,42,290 and Rs 4,13,57,528 respectively.

4.3 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Nagar Panchayats audited during the year for the financial year 2016-17 are Rs.11,27,16,698 and Rs 7,04,19,110 respectively.

5. The Receipts and Payments are inclusive of the various grants received from Central and State Governments during the year 2014-15, 2015-16 & 2016-17 by the Municipal Councils audited during the period. The details of gross Receipts and Payments are shown in the **Annexure No. 5** with reference to the Municipal Councils.

5.1 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Municipal Councils audited during the year for the financial year 2014-15 are Rs.2,06,06,404.25 and Rs 1,87,02,359 respectively.

5.2 The aggregate Receipts (inclusive of OB, Receipt and Interest) &

Payments of Municipal Councils audited during the year for the financial year 2015-16 are Rs.3,46,85,586.05 and Rs 2,53,54,436 respectively.

5.3 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Municipal Councils audited during the year for the financial year 2016-17 are Rs.6,46,27,274.75 and Rs 4,50,87,369 respectively.

6. The Receipts and Payments are inclusive of the various grants received from Central and State Governments during the year 2015-16 & 2016-17 by the Municipal Corporation audited during the period. The details of gross Receipts and Payments are shown in the **Annexure No. 6** with reference to the Municipal Councils.

6.1 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Municipal Councils audited during the year for the financial year 2015-16 are Rs.17,13,83,155 and Rs 15,10,40,850 respectively.

6.2 The aggregate Receipts (inclusive of OB, Receipt and Interest) & Payments of Municipal Councils audited during the year for the financial year 2016-17 are Rs.23,62,96,521 and Rs 17,72,70,803 respectively.

However, During the course of audit of Municipalities in the year 2018-19, various defects noticed were already pointed out in the relevant Audit Reports which were forwarded to the Municipal Commissioner/Municipal Executive Officer for further action at their end as per the procedure laid down under the Sikkim Local Fund Audit Act.

AUDIT OBSERVATIONS

A. GANGTOK MUNICIPAL CORPORATION

The gist of some selected audit objections of Gangtok Municipal Corporation raised during the year 2018-19 under report is enumerated below:

I. NON ADHERENCE TO RULES

1. Observations regarding vehicle repair

Since the Municipalities had not finalised their own rules & regulations for their financial management during the period for which the audit of accounts was conducted, the Sikkim Financial Rule had to be applied during the course of incurrence of expenditure & the audit of accounts was also conducted accordingly.

As per rule No. 5(a), (b) (c) and (e) under Appendix-3 A of Sikkim Financial Rule, Vehicles requiring repairs shall first be examined by the Transport Department, SNT Division, who shall be the sole authority to examine the vehicles and certify the extent of repairs that are necessary and work order shall be issued on the basis of competitive tenders/quotations for all types of repair works from the authorized garages. The purchase of spare parts shall be made from manufacturers, authorized dealers/agencies on the basis of competitive rates duly verified by Chief Engineer, Transport Department, SNT Division.

On test check of the vehicle file, it was found that GMC violated rules laid down in Appendix-3 A of Sikkim Financial Rule

- i. In vehicle file of SK.01.D.1825, Tata 1613, for payment to M/s Shree Shyam enterprise vide ch. No. 594009 dt.11.05.2015 for Rs.23,040/-, Technical report has not obtained, rate has not been verified, history register not entered.
- ii. In vehicle file of SK.01.G.2080 attached to Municipal Commissioner GMC, there is an excess payment to the extent of Rs 1, 50,264/- beyond prescribed ceiling limit.

2. Irregular purchase of stationeries from private supplier

As the Gangtok Municipal Corporation had not framed and finalized their own Rules regarding the conduct of day to day business till the date of audit, the audit team had to take basis and references of provisions of Sikkim Financial Rules 1979 and accordingly the following observation was made.

As per Notification No.8/Fin/Admn. Dated 16.02.2002, all purchase relating to stationery items should be made from Sikkim Consumer Co-operative Society.

Scrutiny of paid vouchers for the period 2015-16 (one year) revealed that the GMC had purchased the stationery items for Rs. 35,74,179/- from private suppliers instead of Sikkim Consumer Co-operative Society.

3. Irregular Payment of Conveyance Allowance

In absence of approved rules pertaining to the GMC, the drawl of conveyance allowance had to be govern by the office memorandum no.13/Fin/Acctt dated 11.08.2000,

In terms of the above memorandum, conveyance allowance of vehicle is allowed to the officers of the rank of Joint Secretaries and above only. This matter has been raised in previous audit also; however no corrective measures have been undertaken by GMC so far.

On the contrary to above O.M., Gangtok Municipal Corporation has been making payments @ Rs.8000/- per month to its officer below the rank of Joint Secretary i.e., Assistant Engineer and above also.

4. No rate verification by MVD/SNT for vehicle repair - Rs 5,49,327/-

Scrutiny by audit revealed that GMC has carried out repair of vehicles and made various purchases. However, no rate verification by Motor Vehicle Division of SNT Department was done for payments amounting to Rs 5,49,327/-. Also, the repair works were carried out in unauthorized garages.

5. Technical report / verification from DIT not done - Rs 3,95,303/-

On scrutiny by audit, it was found that GMC have purchased or carried out IT related works amounting to Rs Rs 3,95,303/-. However, no verification or technical report from Department of IT was found.

II. EXCESS PAYMENT

1. Excess monthly POL drawn by Bazaar Inspector

On scrutiny of various records, audit found that there was considerable increase in monthly POL given to Bazaar Inspector for motor cycle which was increase on two occasions. Monthly POL was drawn at the prescribe rate of 15 litres till July 2016, then in Aug 2016, it was increased to 20 litres which was later increased two fold than the prescribed rate to 30 litres per month from Oct 2016.

2. Excess monthly POL drawn

On scrutiny by audit, it was found that GMC has been not stopped the practice of releasing excess monthly POL which has been repeatedly reported by LFA in earlier audits also. GMC have issued excess amount of POL/ HSD without proper documentation and lack of tour programme and log book puts such excess issue under objection. Moreover, GMC has not taken any heed of the previous reports which is highly objectionable.

Sl. no	Attached to	Vehicle Name	Pol drawn (in litres)	Pol due (in litres)	Excess (in litres)
1.	BO	G1470 Bolero	120	60	60
2.	Sr. Inspector	G1759 Alto	90	30	60
3.	MC	G2030 Bolero	150	60	90
4.	DMC	G1752 Bolero	130	60	70
5.	AE	G1629 Alto	90	30	60
	Total				340

GMC is issuing 340 litres in excess every month and annually 4080 litres which is a very huge amount resulting in huge loss of money which could be used in various development programme/ project.

III. NON-UTILIZATION OF GRANTS WITHIN THE TIME-FRAME

1. Fixed deposit from savings of 14th FC fund

On scrutiny of records it was revealed that during the meeting of Councilor of GMC under the chairmanship of Hon'ble Mayor on 09th April, 2017, it was decided to open a fixed deposit account from the overall saving from the Grant of 14th FC 2016-17 and accordingly deposited an amount of Rs. 85.00 lakhs in Axis Bank TDR No. 97040030790378 dated 10.04.2017 to be matured on 10.04.2018.

The GMC is requested to clarify as why the fund for basic development could not be utilized during the year and kept as fixed deposit for one year which caused delay in achieving the targeted result.

2. Refund of SJSRY Fund - Rs. 24,35,234/-

The GMC received a sum of Rs. 52,84,516/- in two installment i.e. Rs. 35,42,400/- on 18.10.2011 and Rs. 17,42,116/- on 14.02.2013 under the scheme Swarna Jayanti Sahari Rojgar Yojana but an expenditure of Rs. 28,49,282/- only used by the GMC for this purpose till 13.04.2015 and refunded the remaining amount of Rs. 24,35,234/- to the UDHD due to delay in incurring expenditure from the fund (File no.1(267)/GMC/12 Part II SJSRY & RAY).

The GMC could not utilize full fund even the tenure of more than three years. It shows that there was lack of planning & management resulting to in-efficiency in utilization of fund which was meant for very basic public benefit oriented, programme.

3 . Challenge Fund - Rs. 250.00 lakhs half work done

The Government of India sanctioned Rs. 250.00 lakhs to the GMC for the work "Creation of vendors zone and upgradation of footpath from MG Marg to Denzong Cinema Hall at Gangtok" based on MOU between Ministry of Housing and Urban Poverty Alleviation, GOI and Gangtok Municipal Corporation dated 9th January, 2015. The Ministry simultaneously released

Rs. 1,24,99,900/- as 1st instalment subject to the conditions laid in the sanction intimation letter No. F.No.P-18015/2012-HR (Vol.IV) (FTS-12246) dated 28th January, 2015. The MOU para 4 reads “Whereas the funds under ‘Challenge Fund’ will be available till 30th June, 2015. The final instalment shall be claimed before June 2015. In case of delay, beyond 30th June 2015, ULB agreed to complete the project at its own cost without asking any fund from GOI of Challenge Fund”.

The GMC agreed upon the terms and conditions of MOU and proposed to undertake the work departmentally on the ground that the project was time bound and to avoid further delay of following tender process. The GMC incurred Rs. 1,39,35,017/- till September, 2016 as against the completion date of 30th June 2015 and also could not complete the work as per the DPR and left it half done. Also the GMC could not submit the Utilization Certificate in the stipulated time i.e. within 30th June 2015 but submitted only on 4th Nov. 2015 vide Ref no. 409/GMC/2015 dated 4.11.2015. Hence, 2nd instalment of Rs. 1,24,99,900/- was not released to the GMC by GOI.

The GMC finally sanctioned Rs. 10,95,255/- only on 12.09.2016 to clear the final bill lying pending for Rs. 8,72,390/- saving the grant of GOI by Rs. 2,22,865/- only.

Thus, as a result of slow pace of work by the GMC and non utilization of the full fund made available by the GOI in 1st instalment within the stipulated time, the GMC suffered a loss of Rs. 1,24,99,900/- as second instalment which could have been utilized for completion of project and benefits derived.

IV. UNADJUSTED ADVANCES

1. Outstanding Advance - Rs 4,05,000/-

On scrutiny of Advance register for the period 2015-16 & 2016-17 it was revealed that the GMC paid an advance amount of Rs.3,00,000/- to Bazar Officer GMC for apparels and designing training(SJSRY).

However, the above advance had not been entered into Advance Register and not adjusted till the date of Audit.

V. UNAUTHORIZED PAYMENTS

1. Unauthorized payment to supervisors - Rs 1,00,000/-

On scrutiny by audit, it was found that two cheques amounting to Rs 50,000/- each were drawn vide ch no 342737-38/11.1.17 in the name of supervisors for clearing of drains r/o Swatchha Sarvekshan. Also, details of payment were not made available to audit.

VI. WASTEFUL EXPENDITURE

1. Wasteful Expenditure

While verifying the books of accounts, it was found that some of the expenditures made by the GMC as indicated in the table below appeared to be not in conformity with the general financial propriety. It is therefore felt by audit that the expenditure incurred tends to be wasteful.

Particulars	Month & year	To whom paid	Amount (Rs)
Reimbursement bill of Hon'ble Mayor	April 2015	Hon'ble Mayor	10,075/-
Reimbursement bill of Dy. Mayor	April 2015	Dy. Mayor	28,614/-
Reimbursement bill of Hon'ble Mayor	May 2015	Hon'ble Mayor	34,063/-
Farwell party of Shri Pempa Bhutia GMC Officer.	May 2015	Hotel Golmaheen	56,127/-
For supply of food (300 plates @50 per plate vide Ch.No. 594043 Dt.25/05/15	May 2015	Traveller inn Guest House.	15,000/-
Cost of tea during trade licence renewal paid through SB A/c No911010039431710 Axis Bank vide Ch. No.594097 dt.10/06/15	June 2015	GMC canteen	38,620/-
Cost of tea during trade licence renewal paid through SB A/c No911010039431710 Axis Bank vide Ch. No.313351 dt.03/06/16	June 2016	GMC canteen	44,620/-
Reimbursement bill for supply of Packed lunch on account of meeting held at GMC conference hall to SWM vide Ch. No. 313880 Dt.21.06.16	June 2016	Sr. Inspector	11,150/-

Particulars	Month & year	To whom paid	Amount (Rs)
Cost of tea during trade licence renewal paid through SB A/c No911010039431710 Axis Bank vide during 2/6/16 to 30/6/16	Sept 2016	GMC canteen	11200/-
Supply of foods items during trade licence renewal w.e.f. 2/6/16 to 30/6/16	Sept 2016	Kishan Bar & Restaurant	22,552/-
	Total		2,72,021

2. Irregular payment of late fee for blue book renewal - Rs 30,100/-

Scrutiny by audit revealed that late fee for blue book renewal amounting to Rs 30,100/- was paid just before auction of 2 vehicles which is highly irregular.

Sl. no	Vehicle no.	Cheque no./date	Amount(Rs)
1.	D1829	313922/2.7.16	11540/-
2.	D1831	313921/2.7.16	18560/-
3.	Total		30100/-

VII. MIS REPRESENTATION OF FACTS

1. Utilisation Certificate issued without utilising the fund

Utilization certificate for Rs. 155.82 lakhs was issued on 06/05/2017 vide reference no 69/Accts/GMC despite the fact that the fund was not utilized on the date. This amounted to misrepresentation of fact which is highly objectionable. Audit team could not trace out any idea about the interest accrued from the fund parked in bank. The fund is still not fully utilized.

VIII. LOSS OF REVENUE

1. Undue favour to contractor resulted in loss of revenue - Rs1,23,251/-

Scrutiny of records revealed that, an amount of Rs1,23,251/- has been refunded to Shri Sonam Tshering Bhutia, contractor of car parking zone III vide cheque no - 342890 dated 07.03.2017.

In the application dated 18.10.2016, contractor request to compensate his loss due to unavailability of space in the New Assembly House Parking which was occupied by the SLA for official purpose.

As per Notification No – 153/97-98/UDHD dated 17.06.2000 car parking for New Assembly House capacity is 15 only but contractor has claimed compensation for 40 vehicles (40 X Rs3081.28 = Rs123251/-).

As per Tender Agreement Car Parking Contract 2016 – 17 vide Serial No 18 “The contract amount or any part of the contract amount deposited into the Corporation account after the execution of the agreement shall not be refunded”. This indicated undue favour to contractor resulted in massive loss of revenue to the Corporation. Besides this, Corporation self violated the condition laid down in the Tender documents.

IX. NON-REMITTANCE OF DEDUCTIONS / RECOVERIES FROM BILLS

1. Tender / quotation not invited - Rs 3,85,000/-

Scrutiny of audit revealed that GMC made huge payments ranging from Rs 130000 to Rs 750000 (in 3 installments) to single party without inviting any tender of quotation for various programmes. Also, as per sec 194c of IT act, TDS is deducted from firm for payments above Rs 100000 @ 2% (if PAN produced) or 20% (if PAN not produced), which was not done in this case resulting in non deduction of government tax to an amount of Rs 20,200 (@2%) or Rs 2,02,000 (@20%). As per section 201 of Income Tax Act, if a deductor fails to deduct tax at source or after the deducting the same fails to deposit it to the Government’s account then he shall be deemed to be an assessee-in-default and liable to pay simple interest.

Sl. no.	Particulars	Paid to	Amount(Rs)	Chq no / date
1.	Programme for cleaner Gangtok at Sec Schools	Dewaker Basnet, Hours inspired	1,30,000/-	267784/ 21.7.2015
2.	Programme for Your take, Your stake at colleges	-do-	1,30,000/-	282792/ 7.10.2015

Sl. no.	Particulars	Paid to	Amount(Rs)	Chq no / date
3.	Programme on 8 month long intervention on SWM at schools (paid in 3 installments totaling Rs 7,50,000/-	-do-	1,25,000/-	283106/ 4.2.2016

X. IRREGULARITIES IN EXECUTION OF WORKS

1. Construction of footpath from Urma House to Tamang Gaon - Rs 3,50,000/-

Scrutiny by Audit revealed that Rs 348138/- was released vide ch 005010 - 11 dt 1.5.17 for the construction of above said work estimated at Rs 350000/-. As per estimate, 150 m of footpath starting from Urma House at Chandmari Nathula Highway upto Tamang Gaon was to be constructed. But during field visit, it was found that footpath was constructed from above the Urma House and around one third of the work was not done. The payment was released in full and no revision of estimate was done.

B. MUNICIPAL COUNCIL

The gist of some selected audit objections of Municipal Councils raised during the year 2018-19 under report is enumerated below:

I. NON REMITTANCE OF RECOVERIES/ DEDUCTIONS FROM BILLS

1. Gyalshing Municipal Council - Outstanding pension & leave salary contribution Rs1,11,504/-

As per the Sikkim Service Rules, borrowing organization have to pay 12% pension contribution & 11% leave salary contribution to the State Government of the personnel posted on deputation.

However, Gyalshing Municipal Council was not deposited a sum of Rs 111504/- to the State Finance, Revenue & Expenditure Department as of August 2018 as pension & leave salary contribution of Shri Padam Bdr. Rai, SI who was posted to GMC for the period w.e.f 1.04.2014 to 28.02.2017.

The matter was reported to the concerned authority of the GMC for early deposit of the contribution (Pension & Leave Salary) but till January 2019, no reply had been received to the DLFA.

II. LOSS OF REVENUE

1. Naya bazaar Jorthang Municipal Council (NJMC) - Less realization of Revenue from Green Park and Shopping Complex

Scrutiny by audit revealed that NJMC has allotted various shopping stall as per the applications recommended by Area MLA. Agreements were drawn clearly stating that floor rent is payable within the 10th day of every month failing which 10% penal interest is applicable. Also all government revenues and taxes including cost of electricity, water, sanitation, etc are to be borne by the vendors. However, no records regarding payment of such taxes were found.

Rent at Green Park was fixed at Rs 2000/- per month per stall and Security Deposit of Rs 5000/- was required to be paid at the time of signing

of agreement. However, vendors failed to pay the SD and monthly rents in time and also, 10 % penal interest was not applied. Rent for stalls at Shopping Complex was fixed at Rs 10 per sq ft and SD of Rs 5000/- was required to be paid at the time of signing of agreement. However, vendors failed to pay the SD and monthly rents in time and also, 10 % penal interest was not applied. Details of which are given at Annexure 2.

2. Namchi Municipal Council (NMC) - Loss of revenue in tender of Car Parking Contact - Rs 2,70,915/-

Scrutiny by audit revealed that the NMC allowed payment in installment basis and Security Deposit was considered as an installment. Also, there was less realization of revenue as the contractors failed to deposit full amount. Further, it was found that the defaulter contractor, Mr Dhirendra Rai, was allowed to bid and awarded subsequent tender/contract for FY 2015-16 and 2016-17. Details are given below:-

Sl No.	Financial Year	Contractor	Tender amount (Rs)	Security Deposit (Rs)	Less amount realized (Rs)	Remarks
1.	2013-14	Samdup Dorjee Bhutia	7,00,015	1,35,000	1,70,015	Paid in installments including SD and less realization of revenue
2.	2014-15	Dhirendra Rai	5,00,300	1,00,000	1,00,900	-do-
3.	2015-16	-do-	5,00,400	1,50,000		Defaulter awarded contract again and same as above
4.	2016-17	-do-	5,50,000	1,65,000		Same as above
		Total			2,70,915	

Also, as per para 5 of terms and conditions of tender document issued

by NMC, SD will be released only at the end of tenure and taxes such as electricity, water, sanitation, others, etc are to be paid by the contractor. However, it was found that SD was considered as an installment of contract amount and no records of payment of electricity, water, etc bills were produced to audit.

3. Namchi Municipal Council (NMC) - Non realization of rent - Rs 3558858/-

The Rural Management Development Department has been allotted an area measuring 6175 Sq. ft. at Namchi Museum Building at a monthly rent of Rs 61750/- @ Rs 10/- Sq. ft. vide letter no. GOS/6/(917)/12/UD & HD/542 Dated 12/6/2012. But the Namchi Municipal Council has neither realized the rent nor has Rural Management Development Department paid the charges of electricity, sanitation, water supply and other user charges to the concerned department till date. This has resulted to the short collection of revenue receipt on rent amounting to Rs 3558858/- for the period covered by audit. The details are shown in the table below:

Sl.no	Period	Rent month per	Amount(Rs)
1.	12-06-2012 to 30-6-2012 (19 Days)	61750	39,108/-
2.	July 2012 to Mar 17 (57 Months)	61750	35,19,750/-
	Total		35,58,858/-

III. NON PRODUCTION OF RECORDS

Keeping of important records in a safe custody and in proper manner is essential to maintain the transparency as well as accountability of public fund. It is the duty of Executing Authority to provide reasonable facilities to the audit for the discharge of his function and furnish fullest possible information required by him for any official account & report.

1. Namchi Municipal Council (NMC) - Non Production of records - Rs 502600/-

Namchi Municipal Council did not produce records i.e. paid vouchers, bills, files etc of the expenditure incurred before audit team. Hence, thorough audit was not possible.

2. Naya bazaar Jorthang Municipal Council (NJMC) - Non Production of records

Naya bazaar Jorthang Municipal Council did not produce records i.e. paid vouchers, files and bank records of the expenditure incurred before audit team for the financial year 2015-16. Hence, thorough audit was not possible.

IV. VIOLATION OF RULES

1. Namchi Municipal Council (NMC) - Irregular payments in maintenance and repair of vehicles Rs 211265/-

Various lapses were revealed during the scrutiny of records regarding vehicles. Repair works were done without proper technical inspection report. Records such as vehicle log book were not provided to the audit and history sheet was not maintained properly. Details are as follows:-

Sl no	Vehicle no	Paid to	Chq no/ date	Amount (Rs)
1.	D0313	Maa Durga Auto	000018/15.5.14	35000/-
2.	-do-	Auto Link Works	110465/18.3.16	176265/-
		Total		211265/-

Scrutiny also revealed that history book of vehicle no SK04/D1148 had no entry for the period w.e.f. 7.8.2012 to 26.10.2016.

3. Namchi Municipal Council (NMC) - Revenue account kept as current account - Loss of interest due to non-compliance of Govt. Instruction

As per standing Government instructions, all monies received should be held in the saving bank account with State Bank of Sikkim or any other Nationalized Bank.

However, audit observed that NMC has kept the one of its Revenue account bearing A/C no 916020020645753 in the current account with Axis Bank. This resulted in loss of earning of interest over the years till date.

4. Namchi Municipal Council (NMC) - Violation of contract agreement of Bazaar Contract - Rs 1,75,010/-

Scrutiny by audit revealed that the NMC allowed payment in installment basis which included Security Deposit as an installment. Also, there was less realization of revenue as Mr Sanjay Rai, contractor for FY 2016-17 failed to pay full amount.

Detailed as below:-

Sl. no	Financial Year	Contractor	Tender amount (Rs)	Security Deposit (Rs)	Less amount realized (Rs)	Remarks
1.	2014-15	Deep Jyoti	6,50,100	1,95,000		Paid in installments including SD
2.	2015-16	-do-	6,50,100	1,95,000		-do-
3.	2016-17	Sanjay Kr Rai	7,50,010	2,25,000	1,75,010	-do-
		Total			1,75,010	

Also as per para 1 of tender conditions, tender below offset are to be rejected and 10% deducted. On scrutiny by audit, it was found that for FY 14-15, Geeta Devi Singh had quoted only Rs 6,40,000/- which was below the offset price of Rs 6,50,000/-. However, TDR was released without any deduction.

V. NON UTILIZATION OF FUND IN TIME

1. Namchi Municipal Council(NMC) - Parking of fund in TFC/FFC - Rs 5620493/-

On scrutiny by audit, it was revealed that NMC has huge sums of savings in the close of financial year in TFC/FFC account amounting to Rs 5620493/-. Scores of money which should have been utilized in various development works remained parked in the various accounts as made evident in the

figures given above in financial position. It shows failure of proper planning and inability to execute works in timely manner.

C. NAGAR PANCHAYATS

Gist of some of the selected audit objections of Nagar Panchayat raised during the year 2018-19 under report are enumerated below:

I. NON ADHERENCE TO RULE

1. Delay in deposit of receipts

As per the prevailing Rules, all moneys received by or on behalf of the Government shall be brought into Government account without delay.

Test check of records revealed that the amounts of grants received from different agencies were deposited in the bank account belatedly which are illustrated below:

1.1. Singtam Nagar Panchayat (SNP)

Sl no	Particulars	Amount(Rs)	Cheque No	Date	Deposited on	Nos of day
1.	3 rd & 4 th qtr SFC grant	4,96,000/-	028189	01.03.2016	22.03.2016	21 days
2.	SBM information Edn & Communication	2,00,000/-	295776	01.02.2016	15.03.2016	42 days
3.	13 th FC basic grant 2012-13	74858/-	838333	31.03.2015	21.05.2015	51 days

1.2. Rangpo Nagar Panchayat (RNP)

Sl. no	Particulars	Amount(Rs)	Cheque No	Date	Deposited on	Nos of day
1.	Fund for const. of IHHL	2,42,400/-	211336	28.12.2015	20.01.2016	23 days
2.	Fund for Solid waste management.	10,00,000 /-	211324	19.12.2015	20.01.2016	32 days

2. Drawl of advance regarding

Advance Register is an important record to pursue the advances given by Nagar Panchayats for various purposes. However, Audit noticed that the ULBs were in practice of giving payment in advance without maintaining advance register and prior approval from the concerned authority. Most of the advances were drawn in favour of the Presidents, members of councils, MEO and other office staff also. In few cases, advance was given even to the private parties for supply of goods. It was also noticed that some of the advances were adjusted but it was very difficult to find out whether the same was adjusted or not due to improper maintenance of records.

Audit advised to the ULBs to reduce practice of payments in advance unnecessarily except in few genuine cases, but to pay after obtaining bills/invoices on completion of supplies/works.

Some advance payments made by ULBs are given below:

2.1. Rangpo Nagar Panchayat

Sl.no	Particulars	Cheque no. & Dated	Amount(Rs)
1.	Advance payment for distribution of dustbins etc to schools.	128461/29.9.2015	3,00,000/-
2.	Advance payment for construction of footpath from irrigation channel Baghey khola ward number 1.	173789/16.6.2016	3,50,000/-
3.	Advance payment to Mixed labour cooperative society on account of construction of drain below HH31 A near IBM ward number 2.	118151/24.4.2014	6,49,349/-
4.	Advance payment for road carpeting and surface drain at Chanatar ward number 5.	118154/22.5.2014	7,50,724/-
5.	Advance payment for construction of footpath at Toribari ward number 1.	118074/18.2.2014	3,00,000/-

2.2. Singtam Nagar Panchayat

Sl.no.	Particulars	Cheque no. & Dated	Amount(Rs)
1.	Advance payment for cleaning, scrapping and stacking of garbage spit and muck from jhora.	001077/4.2.2015	2,00,000/-
2.	Advance payment for purchase of sanitary items.	000970/27.6.2016	1,60,000/-
3.	Advance payment for fencing around water fountain.	000988/17.11.2016	60,000/-

II. IRREGULARITIES IN EXECUTION OF WORKS

1. Non Compliance of Rules on execution of works/supply

The following irregularities were found during the scrutiny of records of below mentioned works by Singtam Nagar Panchayat & Rangpo Nagar Panchayat:

- As per the prevailing rules, for purchase/supply of materials exceeding Rs 1,00,000/-. The ULBs should go through the tender process but both the Nagar Panchayats had neither followed the tender process nor called quotation.
- Progress of work was not recorded in Measurement Book and was not certified by concerned authority (RNP).
- The measurement books were not certified by the concerned Officer (SNP).
- Supply bill for procurement of material for the works were not certified by the concerned officers.
- MR payment released without obtaining acknowledgment from the payee and not affixed revenue stamp on the payment vouchers.
- Contractor profit was not deducted.
- Labour clearance certificates were not obtained from the concerned Dept. for the above work.
- After preparation of estimate and getting sanction from the competent authority, it is mandatory to obtain Technical vetting of the estimate before execution. Since RNP does not have a competent

authority for technical vetting, as required by the norm, it is advised to appoint a competent officer or manage to get sanction through competent officer from the Nodal Dept.

- i) Prior approval for execution of work departmentally, had not been obtained from the competent authority.

Some of the payments made for execution of works/supply of goods by two Nagar Panchayats is given below:

1.1. Rangpo Nagar Panchayat

SI no.	Particulars	Sanction Amount (Rs)
1.	Construction of community Toilet at IBM ward no 02	4,10,000/-
2.	Construction of Footpath & Protective wall & Railing & Gratings at Daragaon, Majhitar ward no 01	8,04,900/-
3.	Construction of ICDS centre, ward no 04	3,60,000/-
4.	Renovation of CC Footpath from Upper Bazar to Chanatar, ward no 05	3,69,871/-
5.	Construction of Community Toilet at Majwa Gaon, ward no 04	5,82,465/-

1.2. Singtam Nagar Panchayat

SI no.	Particulars	Sanction Amount (Rs)
1.	Construction of drainage system at Bhanu Path, Singtam	6,00,000/-
2.	Construction of boundary wall around the Crematorium shed at Chisopani.	7,00,000/-
3.	Construction of drainage system at Chisopani.	1,23,000/-

III. DIVERSION OF FUND

1. Rangpo Nagar Panchayat

On scrutiny of records and bank statement, it was revealed that an amount of

Rs 4, 00,000/- of 14th FC grant had been transferred to the account of SFC to meet the establishment cost such as the payment of salaries, wages and other office expenses.

This led to non- fulfillment of intended objectives for which the funds were released by the funding agency.

2. Singtam Nagar Panchayat

On scrutiny of records and bank statement, it was revealed that an amount of Rs.5, 53,846/- of BRGF Scheme has been transferred into Canara Bank GIA account to meet the establishment cost such as the payment of salaries, wages and other office expenses.

Sl.no	Particulars	Cheque no./date	Amount(Rs)
1.	Transferred from BRGF to Canara bank(GIA)	001067/14.05.2014	5,53,846/-

This led to non- fulfillment of intended objectives for which the funds were released by the funding agency.

IV. NON PRODUCTION OF RECORDS

1. Singtam Nagar Panchayat

Audit scrutiny revealed that SNP released the payments (BRGF) for below work without creating vouchers.

Sl.no	Particulars	Cheque no. and date	Amount(Rs)
1.	Transferred to Canara bank grants in aid.	001067/14.05.2014	5,53,846/-
2.	Payment for purchase of sanitary items.	001068/23.05.2014	4,80,000/-
3.	Advance payment for cleaning, scrapping of garbage spit & muck etc from Jhora including head load.	001077/04.02.2015	2,00,000/-
4.	Paid to Babulal Agarwal for supply of sanitary items.	426627/14.10.2015	2,25,637/-
		Total	14,59,483/-

V. WASTEFUL EXPENDITURE

1. Singtam Nagar Panchayat - Wasteful expenditure of Rs. 2,25,020/-

Records of SNP revealed that on the request of SHO, Singtam Police vide his letter dated 10.03.2015 for installation of 11 numbers of CCTV at various places within the jurisdiction of SNP. The SNP agreed for installation of 5 numbers of CCTV only for Singtam bazaar vide their resolution dated

31.03.2015. Accordingly, quotations were called from three firms wherein M/s Sikkim Techno Solution quoted the lowest rates (as per the quotations, comparative statement could not be found in file). The SNP, in this regard paid an advance amount of Rs. 70,000/- vide cheque no. 007428/29 dated 8/9.4.2015 to the SHO Singtam instead making payment to the supplier and finally Rs. 1,55,020/- (2,25,020 - 70,000) vide cheque no 000953 dated 18.03.2016 (i.e almost after one year of advance payment) paid to M/s Sikkim Techno Solution duly deducting the advance payment to SHO, Singtam.

No agreement was drawn with SHO, Singtam or the supplier for maintenance and up keeping of the CCTV; hence, most of them became non-functional as per the statement of general public. The purpose of expenditure was genuine and beneficial for security of public but due to non-fixing of responsibility to maintain the same in future, huge amount of public money wasted which could have been used for other purposes of public benefit.

VI. MISCELLANEOUS

There are some other irregularities observed during the audit which do not come under the above categories.

1. Singtam Nagar Panchayat - Chief Minister's Self Reliant Relief Fund - Rs. 50.00 lakhs

Scrutiny of audit, it was found that an amount of Rs. 50.00 lakhs was provided by the UD&HD, Government of Sikkim as CM self reliant relief fund which was deposited in Oriental Bank of Commerce, Singtam on 18.02.2016 and later transferred to the 'Revenue Account' (Canara Bank) with accrued interest. After that, expenditure was incurred gradually for normal works such as Jhora clearance and other minor works. In record, there is neither forwarding letter of the cheque providing to SNP nor any guidelines indicating purposes for which the money had to be spent. Also utilisation certificate of the fund was not in record and could not be provided to the audit.

In this regard, it was observed that (a) the funding agency (UD&HD) provided the fund without guidelines or purpose of the fund and also not sought UC from SNP (b) The SNP also neither sought guideline from funding department nor bothered to submit UC of the fund (c) The SNP has not maintained separate account, instead mixed up with Revenue Account, therefore the expenditure incurred from the fund and saving if any could not be ascertained.

2. Singtam Nagar Panchayat(SNP) - Bazaar & Car Parking contract

Singtam Nagar Panchayat has awarded contract of Bazar and Car parking to the highest bidder as per the details below:

a) Bazaar contract

- 2014-15 Awarded to highest bidder Mr. Dewan Pradhan for Rs. 6,85,458/- Offset price Rs. 685158/-
- 2015-16 Awarded to highest bidder Mr. Akash Pradhan for Rs. 19,51,500/- Offset price Rs. 7,19,416/-
- 2016-17 Awarded to highest bidder Mr. Bikash Pradhan for Rs. 7,55,550/- Offset price Rs. 7,55,386/-

b) Car parking contract

- 2014-15 Awarded to highest bidder Mr. Santosh Pradhan for Rs. 9,51,795/- Offset price Rs. 4,73,889/-
- 2015-16 Awarded to highest bidder Mr. Sanjay Kr. Pd. for Rs. 11,51,000/- Offset price Rs. 4,97,584/-
- 2016-17 Awarded to highest bidder Mr. Santosh Pradhan for Rs. 5,24,551/- Offset price Rs. 5,22,464/-

It was observed from above, the bids for Bazaar & Car Parking contracts during the year 2016-17 in comparison to 2015-16 was very low but higher than offset price. It is advisable to SNP authority to review or request to review the mechanism of fixing offset prices so as to avoid the losses of revenue in this manner in future.

CONCLUSION

After successful completion of audit of various local bodies following conclusions could be drawn.

Non adherence to rules, notification and circulars of the State Government were noticed in the functioning of Local Bodies. In most of the Local Bodies, no annual budget was prepared and expenditure was incurred without preparation and approval of budget, as required under the provisions of the respective Acts/Rules. Annual budget (estimated receipts and expenditure) for next financial year based on annual plan/development plan is not prepared in most of the cases.

Lack of correlation were noticed between the budget and expenditure. The Local Bodies have neglected to remit the realized revenues like VAT, CESS & Forest Royalty into Government account. The Local Bodies have not realized commission on printing and stationary charges as required by the prevailing rule. On procurement of stores, adoption of rates without proper survey, analysis and investigation of prevailing market rates resulted in excess payments which were noticed in the Local Bodies during the course of audit.

The basic records like Cash Book, Receipt and Payment Register, Balance Sheet, Assets and liabilities Register; Advance Register, Contingent Audit Register/Ledger, Bill Register, Salary Audit Register were not maintained in most of the PRIs/ULBs. Non levy of taxes under Sections 39[1] and 40[1] of Sikkim Panchayat Act, 1993 were noticed by the audit teams. None of the PRIs adopted the Model Accounting System for PRIs prescribed by Ministry of Panchayat Raj in 2009 for maintenance of accounts. Accordingly, audit team couldn't obtain reports generated through the (PRIAsoft) software which forms an integral part of auditing. GPUs have failed to provide Annual Financial Statements therefore, the Audit teams lost valuable time in preparation, compilation and providing explanation of the same during the course of audit.

The Grants in aid released by the State Government to the GPUs on account of Salaries and Allowance of Teacher were on adhoc basis. No nominal roll was prepared by the administrative Dept. resulting in unnecessary parking of Govt. Fund at GPUs.

Therefore, GPUs are holding huge bank balances at the end of every Financial Year showing lack of budgeting in the GPUs in this regard. In the present scenario, there is a lack of pre-checks of bills and handles the CARs, bill registers and

cashbooks at block level. In some places pre-check is done by LDC, UDC etc. In other places teachers are deputed to look into the same. Responsibility to handle the Grants-in-Aids Salaries portions are not fixed properly. In most places Panchayat Account Assistants are looking into the Grants-in-Aids Salaries. However, PAAs being ad-hoc employees without proper accounts training may not be able to manage huge and diverse transaction of salaries portion of HRDD which comes in crores of rupees. The administrative department needs to look into this matter in priority.

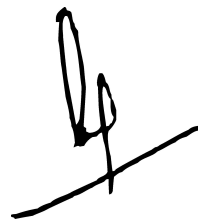
During the course of audit, the audit team as far as possible took all efforts to sensitize the concerned authorities of the Local Bodies regarding all the relevant standing Government Rules and norms; and also Financial Rules framed for governance of local bodies. The Local Bodies were also familiarized with regard to the proper book keeping of all items of expenditure and revenues. The concerned authorities of the Local Bodies have assured the Audit Teams that the existing lacunae will be looked into and all necessary actions would be taken to ensure that the suggestions made by the Audit teams will be strictly adhered to in future.



(Govind Kaushik)
The Pr. Director, Local Fund Audit
Finance, Revenue & Expenditure

Place: Gangtok

Countersigned



(S.C Gupta , IAS)
The Additional Chief Secretary
Finance, Revenue & Expenditure

Place: Gangtok

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ANNEXURE 1**STATEMENT SHOWING SCHEME WISE FINANCIAL POSITION OF GPU (In Rupees)****I. FINANCIAL YEAR 2014-15**

SI No	Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total receipt	Payment	Closing Balance
1	Khamdong	Khamdong	492104	1382620	18868	1893592	1108642	784950
		Dung Dung Thasa	6,18,496	11,15,303	5061	17,38,860	13,97,970	3,40,890
		Simik Lingzey	840315	1793202	28594	26,62,111	17,62,773	899338
		Sirwani Chisopani	6589	760985	216	7,67,790	4,57,036	310754
2	Nandok	Assam Lingzey	255166	1268755	16951	15,40,872	9,20,748	620124
		Bhusuk Naitam	187188	1116110	5987	13,09,285	12,51,492	57793
		Gnathang	427333	2009526	26175	24,63,034	9,31,070	1531964
		Kopibari Syari	383184	827820	7764	12,23,182	8,48,996	374186
		Kyongnosla	375446	1106450	14037	14,95,933	10,81,942	413991
		Nandok Saramsa	2,22,034	11,36,288	6,951	13,65,273	9,82,649	3,82,624
		Rongey Tathangchen	369466	865369	3691	12,38,526	9,35,142	303384
3	Duga	Budang Kamerey	540122	1546593	20634	21,07,349	9,72,730	1134619
		Central Pendam	339656	1227726	24020	15,91,402	6,08,036	983366
		Sumin Lingzey	191338	107015	2551	3,00,904	2,95,024	5880
4	Rakdong Tintek	Patuk Singbel	481556	1329636	18502	1829694	1083820	745874

SI No	Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total receipt	Payment	Closing Balance
		Samdung Kambel	413593	538645	8365	960603	879010	81593
		Tumin	617957	808520	21970	1448447	797869	650578
5	Parakha	Rewa	732936	676087	22557	1431580	960649	470931
		Latuk	1112953	963800	42335	2119088	768828	1350260
		Linkey Parakha	453338	1225200	14943	1693481	1184588	508893
6	Gyalshing	Singyang-Chumbung	1000870	1153342	43546	2197758	945309	1252449
		Darap	615819	1237637	23489	1876945	1213307	663638
		Lingchom-Tikjek	409330	966261	16676	1392267	968468	423799
		Yangtey	739554	901365	27899	1668818	997184	671634
		yangthang	420257	1031445	17040	1468742	938547	530195
		Gyalshing Omchung	477623	1045620	42079	1565322	1225932	339390
7	Dentam	Sardong Lungzik	281393	956134	5530	1243057	1204151	38906
		Hee	521312	1366745	26115	1914172	858274	1055898
		Gyaten- Karmatar	322887	1925497	23472	2271856	1983762	288094
		Maneybung-Sopakha	770524	1289466	16549	2076539	1640252	436287
		Dentam	409572	1144384	12571	1566527	1227407	339120
		Sangkhuradhukhandu	174668	1257181	11003	1442852	729855	712997
		Bongten-Sapong	Details Not Furnished					

SI No	Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total receipt	Payment	Closing Balance
8	Hee Martam	27 - Bermiok Berhang	842390	1093554	15570	1951514	1536547	414967
		26 - Pecherek Heepatal	205326	1257627	17881	1480834	678272	802562
		28-Chingthang	673870	1304706	19120	1997696	1798737	198959
9	Kaluk	Sangadorjee	1204299	1325775	31675	2561749	1931629	630120
		Samdong GPU	441555	1119077	12801	1573433	1160338	413095
		Tadong Rinchenpong	837393	1278606	40264	2156263	934332	1221931
		Deythang	2223968	969589	84638	3278195	1032118	2246077
10	Chumbung	Chakung	345236	1031667	6271	1383174	1235934	147240
		Chumbung	520323	927437	12840	1460600	1327515	133085
		Mendong Botey	420842	854039	9656	1284537	1172193	112344
		Samsing Gelling	675877	1180720	24953	1881550	1206714	674836
		Zoom	377042	1497635	13861	1888538	1209698	678840
11	Tashiding	Karjee Mangnam	470519	1163479		1633998	1098773	535225
		Dhupidara - Narkhola	1165187	1185782		2350969	1328094	1022875
		Arithang Chongrong	782252	1343196		2125448	1152459	972989
		Total	26390658	53613616	8,65,671	80869945	51960401	28909544

ANNEXURE 1**STATEMENT SHOWING SCHEME WISE FINANCIAL POSITION OF GPUs (In Rupees)****II. FINANCIAL YEAR 2015-16**

Sl. No	Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
1	Khamdong	Khamdong	784950	1906000	25176	2716126	2330785	385341
		Dung Dung Thasa	4,59,557	14,06,825	23423	18,89,805	11,68,928	7,20,877
		Simik Lingzey	897159	1621099	57651	25,75,909	8,98,964	1676945
		Sirwani Chisopani	310754	1950472	11609	22,72,835	21,80,501	92334
2	Nandok	Assam Lingzey	620624	1863421	24686	25,08,731	17,97,664	711067
		Bhusuk Naitam	57793	1485985	11386	15,55,164	10,74,681	480483
		Gnathang	1315253	1665740	50237	30,31,230	17,51,606	1279624
		Kopibari Syari	374186	2050400	17403	24,41,989	22,81,926	160063
		Kyongnosla	442250	1301831	22655	17,66,736	12,80,901	485835
		Nandok Saramsa	3,82,624	20,98,467	12133	24,93,224	23,84,698	1,08,526
		Rongey Tathangchen	303384	1912112	9879	22,25,375	18,48,454	376921
3	Duga	Budang Kamerey	1130812	459430	35089	16,25,331	8,99,916	725415
		Central Pendam	983366	2472030	52337	35,07,733	10,98,932	2408801
		Sumin Lingzey	5880	2000663	8610	20,15,153	18,88,923	126230
4	Rakdong Tintek	Patuk Singbel	745874	2443645	42083	3231602	1991546	1240056
		Rakdong Tintek	600649	2428715	33757	3063121	2033790	1029331
		Samdong Kambel	81593	2535795	19884	2637272	2214109	423163

Sl. No	Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
		Tumin	650578	1460000	40067	2150645	888159	1262486
5	Parakha	Riwa Machong	470931	1737915	31611	2240457	1792678	447779
		Latuk Chuchenpheri	1324460	1767315	93954	3185729	1789035	1396694
		Thekabong Parakha	508893	2252464	21086	2782443	1852429	930014
6	Gyalshing	Singyang-Chumbung	1252449	2058166	47205	3357820	2836722	521098
		Darap	663638	2255389	30250	2949277	1345342	1603935
		Lingchom-tikjek	423799	2041783	20032	2485614	2074015	411599
		yangtey	1234634	1614027	38592	2887253	1347905	1539348
		yangthang	530195	1558041	25340	2113576	1636659	476917
		Gyalshing Omchung	642517	2144920	30024	2817461	1655231	1162230
7	Dentam	Sardong	38906	1557527	5848	1602281	1322430	279851
		Hee	1055898	2160910	54050	3270858	1692209	1578649
		Gyaten-Karmatar	288094	2005879	30294	2324267	1555171	769096
		Maneybung-Sopakha	436287	2469495	29180	2934962	2076810	858152
		Dentam	338774	2321961	21174	2681909	2305208	376701
		Sangkburadhukhandu	713997	3378829	28923	4121749	2768691	1353058
8	Hee Martam	25 - Martam GPU	636483	2259155	37478	2933116	2154131	778985
		27 - Bermiok Berhang	414967	2018104	20091	2453162	2163654	289508
		26 - Pecherek Heepatal	802562	1734527	25088	2562177	2114165	448012
		28-Chingthang	198731	2233527	48466	2480724	1299112	1181612

Sl. No	Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
9	Kaluk	Sangdorjee	630120	2326994	18190	2975304	2378929	596375
		Samdong	413095	2376688	32797	2822580	2525388	297192
		Tadong Rinchenpong	1223931	2108919	57734	3390584	2181612	1208972
		Deythang	2246577	1671963	85920	4004460	1205695	2798765
10	Chumbung	Chakung	147240	1708131	13950	1869321	1217107	652214
		Chumbung	158085	1656430	20706	1835221	1333337	501884
		Mendong Botey	112344	1346965	9964	1469273	1412026	57247
		Samsing Gelling	675839	2023727	23726	2723292	1948212	775080
		Zoom	678840	2305633	26050	3010523	1952981	1057542
11	Mangan	Ramthang Tangyak	74363	1402882	12340	1489585	1085198	404387
		Namok Swayam	71689	800786	5068	877543	736143	141400
		Mangshila Timbuk	222363	1198176	21898	1442437	879573	562864
		Thingchim chaday	74363	1402882	12340	1489585	1085198	404387
		Ringhim nampatam	1099672	1485760	41913	2627345	1926018	701327
		Singhik Sentam	166260	1251545	14332	1432137	641529	790608
		Toong Naga	116732	1649870	17064	1783666	996009	787657
12	Tashiding	Karjee Mangnam	537225	1201893		1739118	1429992	309126
		Dhupidara - Narkhola	1022875	884686		1907561	862774	1044787
		Arithang Chongrong	972989	1791298		2764287	955730	1808557
		Total	32768103	103227792	1550743	137546638	92549531	44997107

ANNEXURE 1

STATEMENT SHOWING SCHEME WISE FINANCIAL POSITION OF GPUs (In Rupees)

III. FINANCIAL YEAR 2016-17

SI No	Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
1	Khamdong	Khamdong	377983	2081656	12858	2472497	1409525	1062972
		Dung Dung Thasa	7,20,877	19,57,326	27241	27,05,444	1074245	16,31,199
		Simik Lingzey	1679212	2245798	48324	39,73,334	2306535	1666799
		Sirwani Chisopani	87312	3903078	9012	39,99,402	1936521	2062881
2	Nandok	Assam Lingzey	711067	3096782	54316	38,62,165	2266719	1595446
		Bhusuk Naitam	481483	2040489	21353	25,43,325	1455795	1087530
		Gnathang	659313	2785529	27460	34,72,302	1806086	1666216
		Kopibari Syari	160063	59962	4773	2,16,867	141600	75267
		Kyongnosla	486835	1747815	13619	22,48,269	1287224	961045
		Nandok Saramsa	1,08,526	27,43,280	14,721	28,66,527	1478838	13,87,689
		Rongey Tathangchen	355048	1573912	2670	19,31,630	771933	1159697
3	Duga	Budang Kamerey	725415	1057620	35831	18,18,866	1209824	609042
		Central Pendam	2408801	597160	55681	30,61,642	2908800	152842
		Sumin Lingzey	126230	2036105	12152	21,74,487	1395027	779460
4	Rakdong Tintek	Patuk Singbel	1240056	3016164	37233	4293453	2660467	1632986
		Rakdong Tintek	1029331	2541542	25996	3596869	2158419	1438450
		Samdong Kambel	423163	3621958	19290	4064411	2634360	1430051
		Tumin	1262486	1225700	3476	2491662	2305124	186538
5	Parakha	Riwa Machong	501184	2439790	14599	2955573	1543986	1411587
		Latuk Chuchenpheri	1367749	1274007	40598	2682354	1428104	1254250
		Thekabong Parakha	880625	1662278	26574	2569477	1456519	4025996

SI No	Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
6	Gyalshing	Singyang-Chumbung	521098	2701695	32989	3255782	1265290	1990492
		Darap	1600563	2505544	37361	4143468	1860857	2282611
		Lingchom-Tikjek	411599	1701361	1207	2114167	1031062	1083105
		yangtey	1539348	2701777	41965	4283090	1818572	2464518
		yangthang	476917	952461	12089	1441467	1308730	132737
		Gyalshing Omchung	1162230	2562530	27295	3752055	1528411	2223644
7	Dentam	Sardong Lungzik	274931	1995952	4095	2274978	1049076	1225902
		Hee	1578649	2281332	24522	3884503	1978800	1905703
		Gyaten-Karmatar	769096	1398713	9266	2177075	1347561	829514
		Maneybung-Sopakha	855019	3188271	33119	4076409	2305175	1771234
		Dentam	530301	1993396	19134	2542831	1839277	703554
		Sangkhuradhukhandu	1351341	2512018	22417	3885776	2169595	1716181
		Bongten-Sapong						
8	Hee Martam	25 - Martam GPU	778985	2342906	27151	3149042	1839212	1309830
		27 - Bermiok Berhang	214685	3183881	20859	3419425	1027426	2391999
		26 - Pecherek Heepatal	430532	1573827	11592	2015951	612341	1403610
		28-Chingthang	1181612	2688027	21587	3891226	1504610	2386616
9	Kaluk	Sangadorjee GPU	596375	2191298	18356	2806029	872970	1933059
		Samdong GPU	297192	2920061	10330	3227583	1013343	2214240
		Tadong Rinchenpong	1208972	2915485	37953	4162410	2239426	1922984
		Deythang GPU	2798765	2567391	100116	5466272	2019083	3447189
10	Chumbung	Chakung	652214	1465415	11587	2129216	1283953	845263
		Chumbung	501884	1863764	7954	2373602	1022679	1350923

SI No	Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
		Mendong Botey	57247	1139976	1409	1198632	854327	344305
		Samsing Gelling	775080	2058100	19371	2852551	1755290	1097261
		Zoom	1057542	2191974	15208	3264724	1536197	1728527
11	Mangan	Ramthang Tangyak	404387	1032105	14053	1450545	1256203	194342
		Namok Swayam	141400	1181727	7118	1330245	295418	1034827
		Mangsila Timbuk	562864	1916284	20927	2500075	525278	1974797
		Thingchim Chaday	404387	1032105	14053	1450545	1256203	194342
		Ringhim Nampatam	701327	2438825	20605	3160757	1200428	1960329
		Singhik Sentam	790603	2291499	38958	3121060	1111822	2009238
		Toong Naga	787657	2044403	14571	2846631	971745	1874886
12	Tashiding	Karjee Mangnam	307399	781469		1088868	778294	310574
		Dhupidara - Narkhola	1044787	1878627		2923414	2099189	824225
		Arithang Chongrong	1808557	1680347		3488904	2129314	1359590
		Total	44368304	115582497	1206994	161157795	81437701	79720094

ANNEXURE 2

STATEMENT SHOWING FINANCIAL POSITION OF HRDD FUND (GRANTS-IN-AID) OF GPUs (In Rupees)

I. FINANIAL YEAR 2014-2015

Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
Khamdong	Dung Dung Thasa	3378953	10848053	81970	14308976	13491738	817238
	Sirwani Chisopani	745148	24655622	152628	25553398	23692402	1860996
	Khamdong	4278589	15192662	217269	19688520	14904425	4784095
Nandok	Kopibari Syari	1980	18840000	38257	18880237	18836559	43678
	R/Tathangchen	6923	31781146	77902	31865971	31737974	127997
	Gnathang	1319422	5220498	50318	6590238	6463703	126535
	Nandok Sramsha	1061237	12514880	51584	13627701	12617721	1009980
	Assam linzey	363318	23992897	67273	24423488	23638033	785455
	Bhusuk Naitam	1118339	7821293	51120	8990752	8478699	512053
	Kyongnosla	323589	13135177	86596	13545362	13484406	60956
	Nagar Nigam	229092	86039398	204270	86472760	83692180	2780580
Gyalshing	Singyang-Chumbung	2572796	18787270	123676	21483742	17981706	3502036
	Darap	467369	10168857	72884	10709110	7269027	3440083
	Lingchom-Tikjek	2073923	9658949	73513	11806385	9006121	2800264
	yangtey	272758	22390897	75391	22739046	20094292	2644754
Dentam	Sardong Lungzik	88814	23075413	60640	23224867	21900621	1324246
	Hee	3332001	8400000	161600	11893601	7307456	4586145
	Gyaten-Karmatar	2512946	15600000	117493	18230439	15736078	2494361

	Maneybung-Sopakha	3549702	20400000	182486	24132188	19733457	4398731
	Dentam	1958701	9600000	91484	11650185	8859197	2790988
	Sangkhuradhukhandu	4281947	22800000	218182	27300129	21893084	5407045
	Bongten-Sapong	2114134	12911477	99169	15124780	12073066	3051714
Kaluk	Tadong Rinchenpong	2074510	12983634	123724	15181868	14810682	371186
	Deythang	870901	11942508	4320	12817729	12431245	386484
Hee Martam	25 - Martam	6154155	16590000	274753	23018908	14438709	8580199
	27 - Bermiok Berthang	9220740	21000000	436795	30657535	16892971	13764564
	26 - Pecherek Heepatal	4465797	12390000	156737	17012534	12560388	4452146
	28 - Chingthang	2806684	16609173	193680	19609537	11621637	7987900
Chumbung	Chumbung	42233	10100623		10142856	9462941	679915
	Mendogaon	825643	12822142	0	13647785	12793852	853933
	Zoom	994405	16315609	33923	17343937	16590984	752953
	Samsing Galling	0	12266468	0	12266468	12266468	0
Tashiding	Karjee Mangnam	1301011	3500000	24103	4825114	4043100	782014
	Arithang Chongrong	782014	7500000	18088	8300102	4256885	4043217
	Total	65589774	577854646	3621828	647066248	555061807	92004441

ANNEXURE 2

STATEMENT SHOWING FINANCIAL POSITION OF HRDD FUND (GRANTS-IN-AID) OF GPU (In Rupees)

I. FINANIAL YEAR 2015-2016

Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
Khamdog	Dung Dung Thasa	817238	11436031	56786	12310055	11590044	720011
	Sirwani Chisopani	1860996	21833688	107999	23802683	22222318	1580365
	Khamdong	4784095	14551711	191600	19527406	14947824	4579582
Nandok	Kopibari Syari	43678	20683525	66377	20793580	19286342	1507238
	R/Tathangchen	127997	37421999	117357	37667353	34939969	2727384
	Gnathang	126535	2200000		2326535	2138285	188250
	Nandok Sramsha	1009980	16476873	78565	17565418	16518730	1046688
	Assam linzey	785455	26775079	94941	27655475	25734851	1920624
	Bhusuk Naitam	512053	18019998	74669	18606720	17115800	1490920
	Kyongnosl	20956	14375000	70022	14465978	13381264	1084714
	Nagar Nigam	2780580	92837109	313762	95931451	89174508	6756943
Gyalshing	Singyang-Chumbung	3502036	17320852	242900	21065788	17180694	3885094
	Darap	3440083	8961142	95148	12496373	6892196	5604177
	Lingchom-Tikjek	2800264	10019555	102541	12922360	11056223	1866137
	Yangtey	2644754	22838770	124732	25608256	22364721	3243535
Dentam	Sardong Lungzik	1324246	27125411	90337	28539994	25070295	3469699
	Hee	4586145	6000000	165643	10751788	8750055	2001733
	Gyaten-Karmatar	2494361	16900000	110560	19504921	17363297	2141624
	Maneybung -	4398731	19200000	195582	23794313	18795508	4998805

Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
	Sopakha						
	Dentam	2790988	9000000	108350	11899338	10910337	989001
	Sangkhuradhukhandu	5407045	24300000	178175	29885220	27621011	2264209
	Bongten-Sapong	3051714	13400000	147569	16599283	13377927	3221356
Kaluk	Tadong Rinchenpong	371186	19915651	94121	20380958	18903471	1477487
	Deythang	386484	18406054	101129	18893667	14678507	4215160
Hee Martam	25 - Martam	8580199	13844450	158144	22582793	15821494	6761299
	27 - Bermiok Berthang	13764564	9374020	314133	23452717	15450350	8002367
	26 - Pecherek Heepatal	4452146	17471544	156157	22079847	15064216	7015631
	29 - Chingthang	7987900	12500750	158988	20647638	12757917	7889721
Chumbung	Chumbung	679915	8217834		8897749	7723323	1174426
	Chakung	11844481	896073		12740554	8908865	3831689
	Mendogaon	853933	17229029	0	18082962	12001646	6081316
	Zoom	752953	26895218	84652	27732823	19106452	8626371
	Samsing Galling	0	2170997	0	2170997	1270481	900516
Mangan	Ramthang Tangyak	1131350	6959000	50638	8140988	7143202	997786
	Namok Swayam	1937506	11754000	89802	13781308	12788497	992811
	Mangshila Timbuk	1313172	17335378	85926	18734476	17561159	1173317
	Thingchim Chaday	1131350	6959000	50638	8140988	7143202	997786
	Ringhim Nampatam	1936079	22625000	141872	24702951	23265068	1437883
	Singhik Sentam	1233863	8226204	60908	9520975	8470838	1050137

Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
	Toong Naga	1657018	10762600	85814	12505432	10559778	1945654
Tashiding	Karjee Mangnam	782014	7500000	18088	8300102	4256885	4043217
	Arithang Chongrong	4043217	7300000	281812	11625029	4068191	7556838
	Total	114149260	698019545	4666437	816835242	683375741	133459501

ANNEXURE 2

STATEMENT SHOWING FINANCIAL POSITION OF HRDD FUND (GRANTS-IN-AID) OF GPUs (IN RUPEES)

I. FINANIAL YEAR 2016-2017

Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
Khamdong	Dung Dung Thasa	720011	13965630	60727	14746368	13059990	1686378
	Sirwani Chiso pani	1580365	25547999	121203	27249567	24202169	3047398
	Khamdong	4579582	17431078	207397	22218057	20098746	2119311
Nandok	Kopibari Syari	1507238	22176446	83594	23767278	23624091	143187
	R/Tathangchen	2727384	29046860	193580	31967824	29885796	2082028
	Gnathang	188250	1622424	0	1810674	1635164	175510
	Nandok Sramsha	1046688	14093754	87631	15228073	13250718	1977355
	Assam linzey	1920624	25342678	132600	27395902	25828089	1567813
	Bhusuk Naitam	1490920	23897257	110462	25498639	24590241	908398
	Kyongnosla	1124714	13480336	86098	14691148	14525407	165741

Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
	Nagar Nigam	6756943	88459096	355000	95571039	95510502	60537
Gyalshing	Singyang-Chumbung	3885094	16851272	149043	20885409	20301110	584299
	Darap	5604177	5498488	226908	11329573	7926916	3402657
	Lingchom-Tikjek	1866137	14009670	74708	15950515	15464504	486011
	yangtey	3243535	19239747	95400	22578682	22394564	184118
Dentam	Sardong Lungzik	3469699	15500000	126588	19096287	15969638	3126649
	Hee	2001733	6000000	99966	8101699	7135214	966485
	Gyaten-Karmatar	2141624	18900000	232089	21273713	15995391	5278322
	Maneybung - Sopakha	4998805	18500000	364168	23862973	16799965	7063008
	Dentam	989001	10800000	104306	11893307	9799255	2094052
	Sangkhuradhukhandu	2264209	28800000	233240	31297449	26631642	4665807
	Bongten-Sapong	3221356	13200000	167801	16589157	14305499	2283658
Kaluk	Tadong Rinchenpong	1477487	16228400	132088	17837975	16319890	1518085
	Deythang	4215160	9927000	182672	14324832	12123501	2201331
Hee Martam	25 - Martam	6761299	16650000	459850	23871149	14073334	9797815
	27 - Bermiok Berthang	8002367	13571747	362605	21936719	16173442	5763277
	26 - Pecherek Heepatal	7015631	15050000	427351	22492982	13664579	8828403
	29 - Chingthang	7889721	16852195	494144	25236060	15018906	10217154
Chumbung	Chumbung	1174426	8626882		9801308	4908236	4893072
	Chakung	3831689	10116987		13948676	8447545	5501131
	Mendogaon	6081316	10933752	0	17015068	11623868	5391200
	Zoom	8626371	23410670	100453	32137494	20667830	11469664
	Samsing Galling	900516	0	0	900516	0	900516
Mangan	Ramthang Tangyak	997786	9619000	60463	10677249	8660908	2016341

Block Administrative Center	Gram Panchayat Unit	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
	Namok Swayam	992811	13138000	71961	14202772	13612659	590113
	Mangshila Timbuk	1173317	13471200	36794	14681311	12135997	2545314
	Thingchim Chaday	997786	9619000	60463	10677249	8660908	2016341
	Ringhim Nampatam	1437883	13799369	114739	15351991	12276178	3075813
	Singhik Sentam	1050137	8391000	68775	9509912	7056897	2453015
	Toong Naga	1945654	12151500	103158	14200312	11574528	2625784
Parakha	Latuk-Chochen-Pheri	236597	12675428	64533	12976558	12406403	570155
	Riwa-Machong	232840	17984059	59507	18276406	18143829	132577
	Thakabong Parakha	247004	7323861	36183	7607048	7418510	188538
Tashiding	Karjee Mangnam	4043217	7300000	281812	11625029	4068191	7556838
	Arithang Chongrang	1867970	23000000	314349	25182319	20186713	4995606
	Total	128527074	732202785	6744409	867474268	728157463	139316805

ANNEXURE 3

STATEMENT SHOWING YEAR WISE FINANCIAL POSITION OF ZILLAPANCHAYAT (in Rupees)

Financial Year	Name of the Zilla Panchayat	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
2014-15		105755594	97728229	3244283	206728106	132134876	74593230
	South District Zilla Panchayat	82240015	56251150	1939442	140430607	92865594	47565013
	West District Zilla Panchayat	23515579	41477079	1304841	66297499	39269282	27028217
2015-16		74593230	98226858	2046439	174866527	86864263	88002264
	South District Zilla Panchayat	47565013	74649608	1303835	123518456	58956225	64562231
	West District Zilla Panchayat	27028217	23577250	742604	51348071	27908038	23440033
2016-17		135443005	115512752	2546485	253502242	114838095	138664147
	South District Zilla Panchayat	64562231	39229943	1232540	105024714	47686557	57338157
	West District Zilla Panchayat	23440033	36102809	1100236	60643078	22032269	38610809
	North District Zilla Panchayat	47440741	40180000	2,13,709	87834450	45119269	42715181

ANNEXURE 4

STATEMENT SHOWING YEAR WISE FINANCIAL POSITION OF NAGAR PANCHAYAT (in Rupees)

Financial Year	Name of the Nagar Panchayat	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
2014-15		22864670	32700123	627317	56192110	40933408	15258702
	Rangpo Nagar Panchayat	15792730	11961718	538223	28292671	19748787	8543884
	Singtam Nagar Panchayat	4633467	16946355	43777	21623599	15145409	6478190
	Mangan Nagar Panchayat	2438473	3792050	45317	6275840	6039212	236628
2015-16		17869311	44901240	271739	63042290	41357528	21684762
	Rangpo Nagar Panchayat	8543884	23035075	151352	31730311	22809036	8921275
	Singtam Nagar Panchayat	6478190	15366264	23826	21868280	11436486	10431794
	Mangan Nagar Panchayat	2847237	6499901	96561	9443699	7112006	2331693
2016-17		25014550	86799824	902324	112716698	70419110	42297588
	Rangpo Nagar Panchayat	8921275	21699086	281260	30901621	23561814	7339807
	Singtam Nagar Panchayat	11824136	50021276	279113	62124525	35595815	26528710
	Mangan Nagar Panchayat	4269139	15079462	341951	19690552	11261481	8429071

ANNEXURE 5

STATEMENT SHOWING YEARWISE FINANCIAL POSITION OF MUNICIPAL COUNCIL (in Rupees)

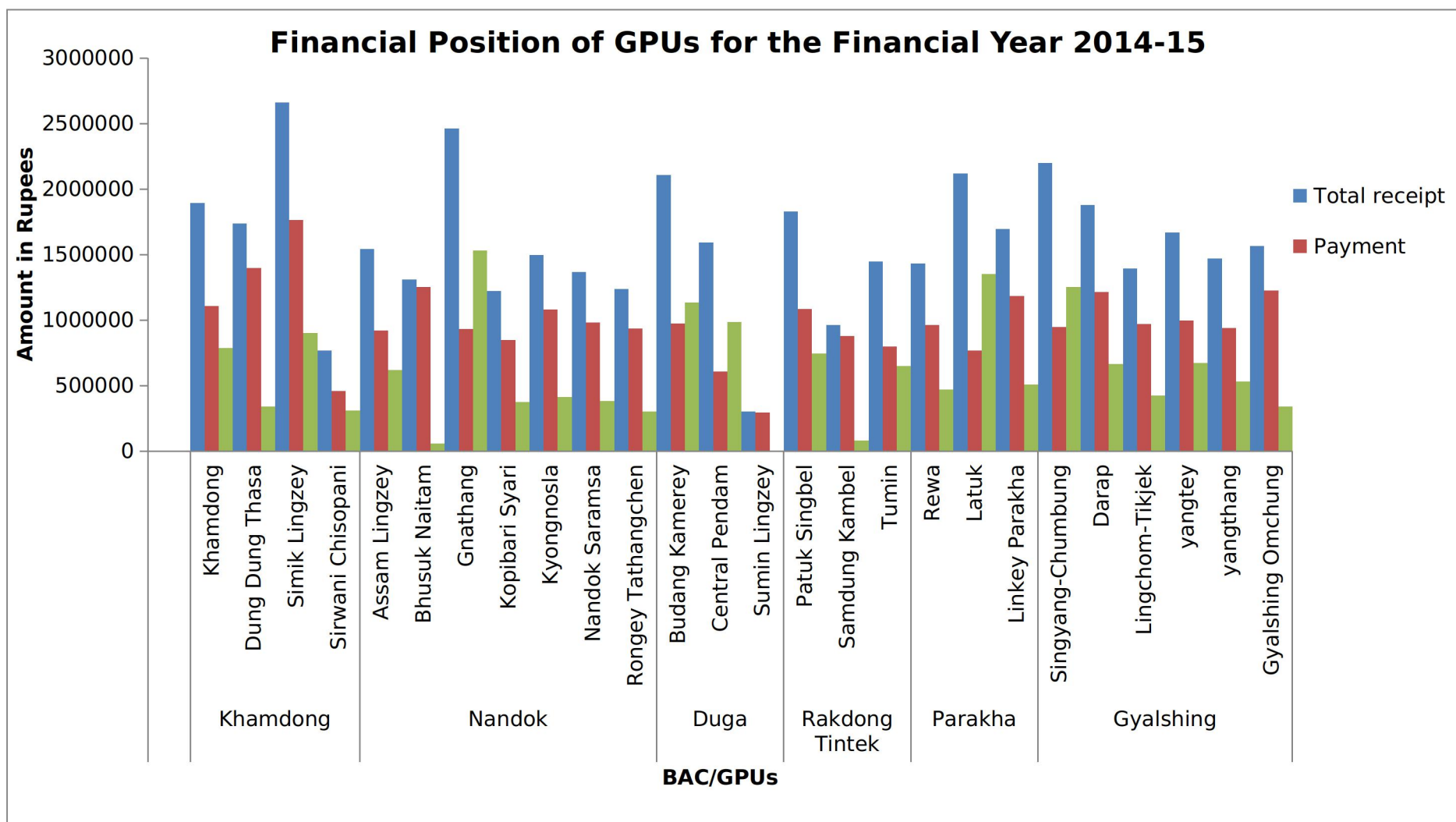
Financial Year	Name of the Municipal Council	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
2014-15		1326016.25	19228118	52270	20606404.25	18702359	1904045.25
	Gyalshing Municipal Council, West	283773.25	4955811	23971	5263555.25	4888012	375543.25
	Namchi Municipal Council, South	1042243	14272307	28299	15342849	13814347	1528502
2015-16		2846549.25	31728286	110750.8	34685586.05	25354436	9331150.15
	Gyalshing Municipal Council, West	375543.25	12274821	32475.8	12682840.05	8277436	4405404.15
	Naya Bazar Jorhang Municipal Council, South	942504	1634000	6944	2583448	993261	1590187
	Namchi Municipal Council, South	1528502	17819465	71331	19419298	16083739	3335559
2016-17		14364416.15	49879962	382896.6	64627274.75	45087369	19539905.75
	Gyalshing Municipal Council, West	4399574.15	8508834	126349.6	13034757.75	9739457	3295300.75
	Naya Bazar Jorhang Municipal Council, South	4593587	18914564	145689	23653840	16702869	6950971
	Namchi Municipal Council, South	5371255	22456564	110858	27938677	18645043	9293634

ANNEXURE 6						
STATEMENT SHOWING YEAR WISE FINANCIAL POSITION OF GANGTOK MUNICIPAL CORP (In rupees)						
I. FINANCIAL YEAR 2015-16						
Name of Account/Fund/Scheme	Opening Balance	Receipts	Interest	Total Receipts	Payments	Closing balance
Expense A/c	1499827.64	88725803	225351	90450981.6	80986847	9464134.64
Revenue	6023063.32	42807626	122290	48952979.3	42900000	6052979.32
SJSRY Fund	1928453	1153116	48,586	3130155	3130155	0
13th FC Grant	15,282	1316592	38,140	1370014	1356930.17	13,083.83
SBM(IHHL)	50,562	969600	2,043	1022205	55005	967200
Infrastructure Fund	239017		4,307	243324	178520	64,804
Disaster Mgt.	1638611		65,514	1704125	68793	1635332
BSUP	912016	10500000	196651	11608667	8960869	2647798
Challenge Fund	15,973	85,346	12753260	12854579	12280535	574044
BRGF Fund	45,627	498		46125	46086	39
Allahabhad Bank	1111703			1111703	1077110	34593
Total	12368432	145558581	13456142	171383155	151040850	21419414.79

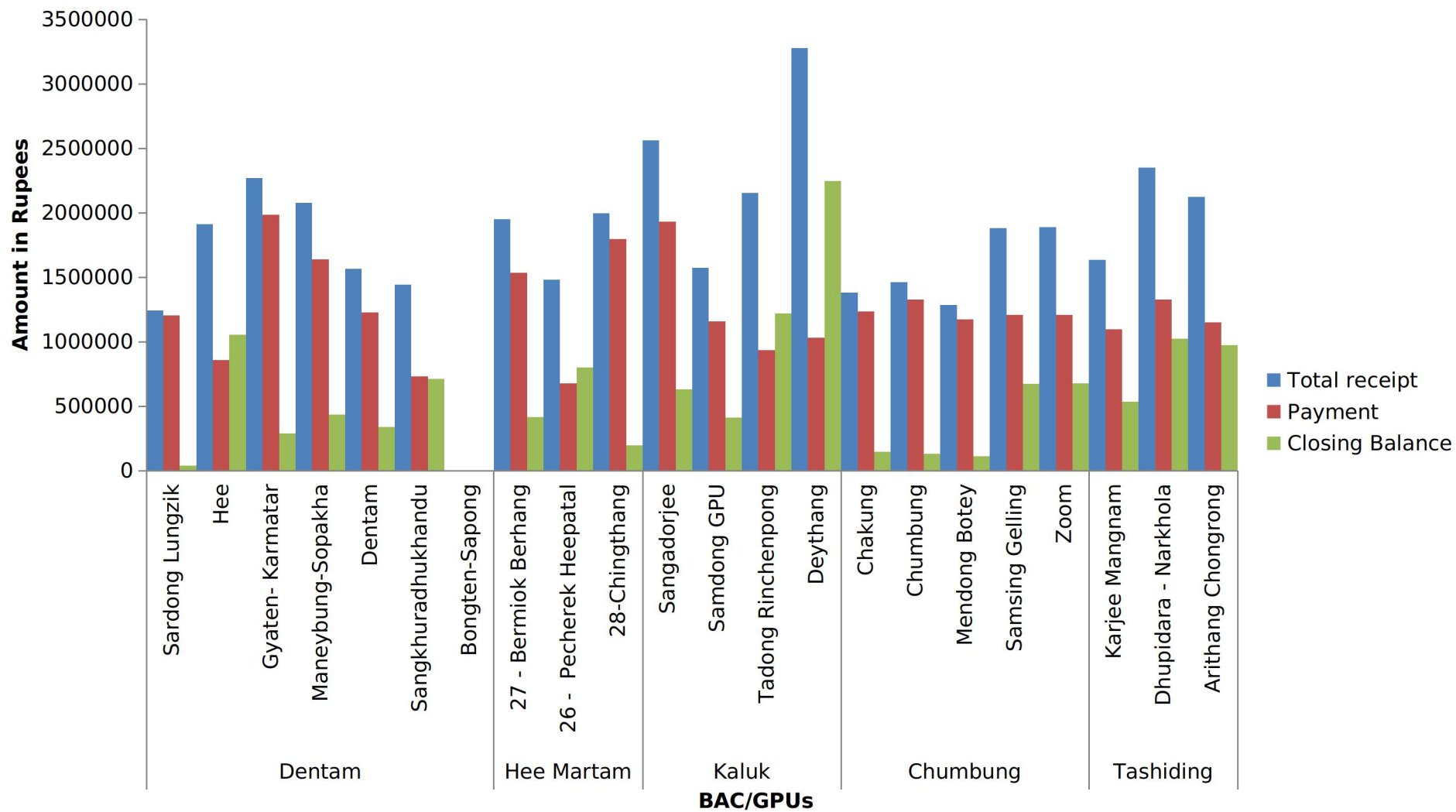
ANNEXURE 6						
STATEMENT SHOWING YEAR WISE FINANCIAL POSITION OF GANGTOK MUNICIPAL CORP(In rupees)						
II. FINANCIAL YEAR 2016-17						
Name of Account/Fund/Scheme	Opening Balance	Receipt	Interest	Total Receipt	Payment	Closing Balance
Expense A/c	9464134.6	86625486	230837	96320458	87569572	8750886
Revenue	6052979.3	53487047	268094	59808120	55289000	4519120.3
14th FC Grants	0	63002000	246601	63248601	26958509	36290092
SBM(IECCB and SWM)	0	2080000	3,706	2083706	511102	1572604
SBM(IHHL)	967200	666000	21,601	1654801	947676	707125
GMC-ICLEI	0	1200000	20,600	1220600	0	1220600
Disaster Mgt.	1635332	0	66,184	1701516	19520	1681996
BSUP	2647798	6986000	50,222	9684020	5412583	4271437
Challenge Fund	574044		655	574699	562842	11857
Total	21341488	214046533	908500	236296521	177270804	59025717

ANNEXURE 7

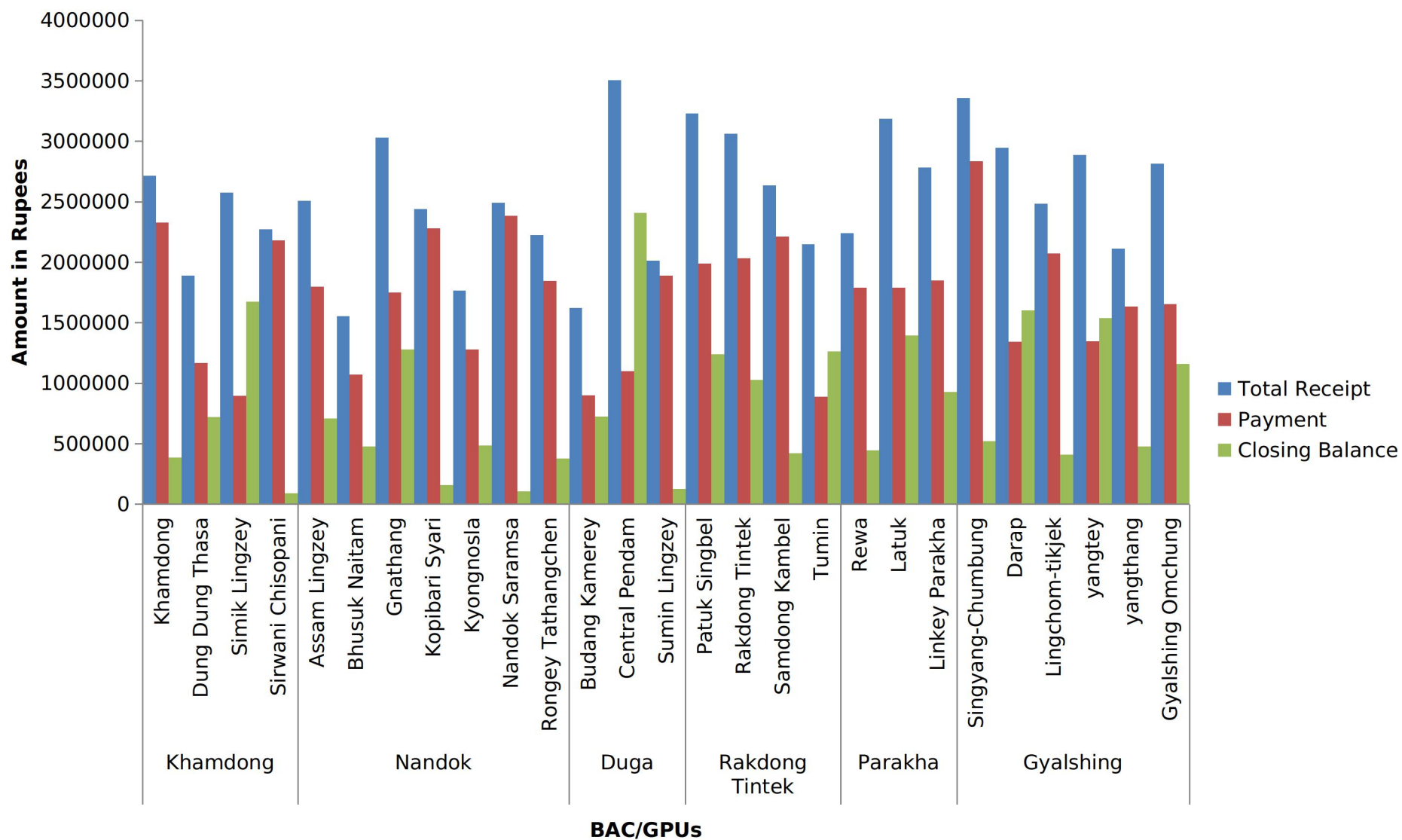
I. BAR CHART SHOWING GRAM PANCHAYAT UNIT WISE TOTAL RECEIPT, EXPENDITURE & SAVINGS (In Rupees)



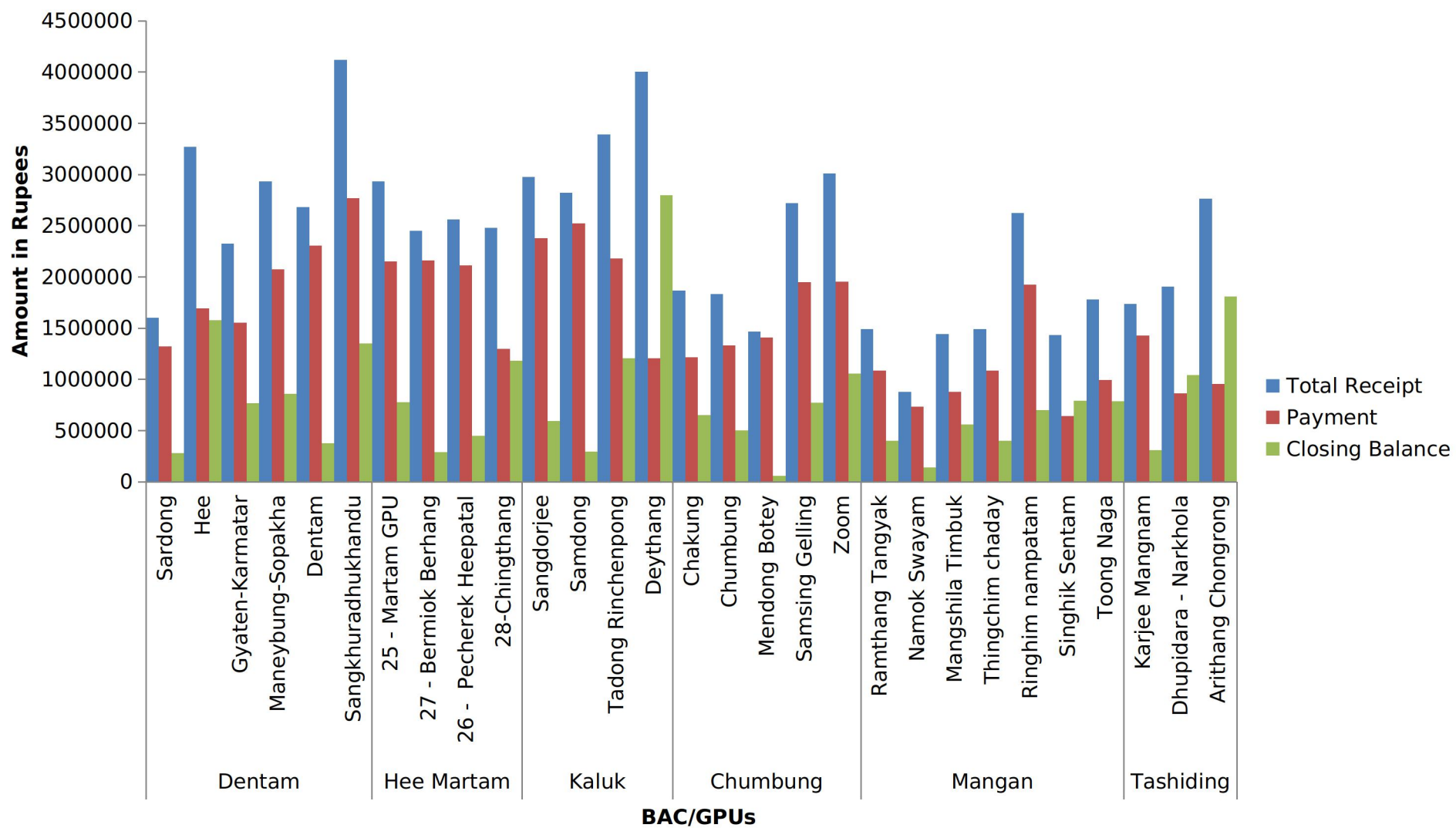
Financial Position of GPUs for the Financial Year 2014-15



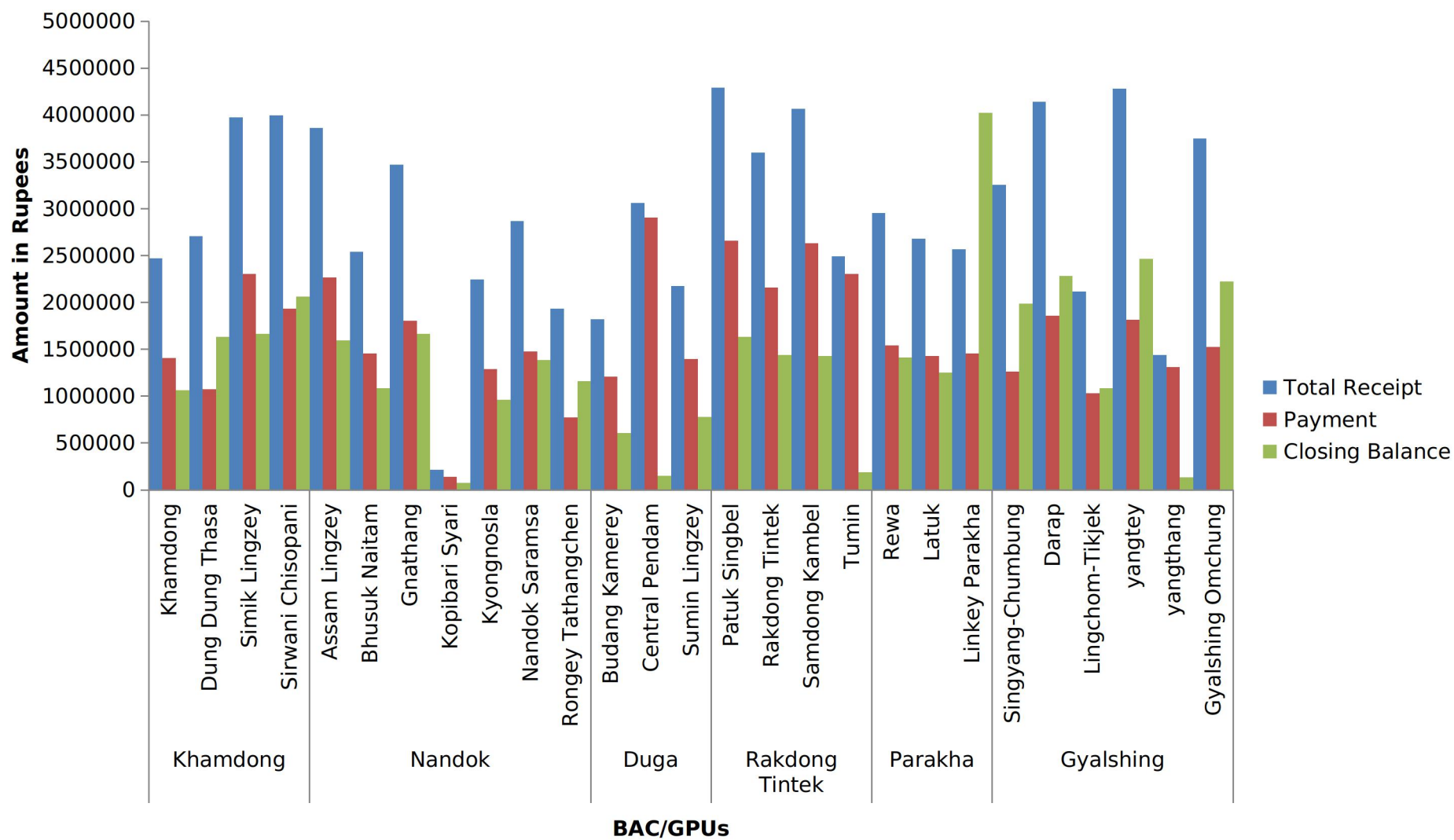
Financial position of GPUs for the Financial year 2015-16



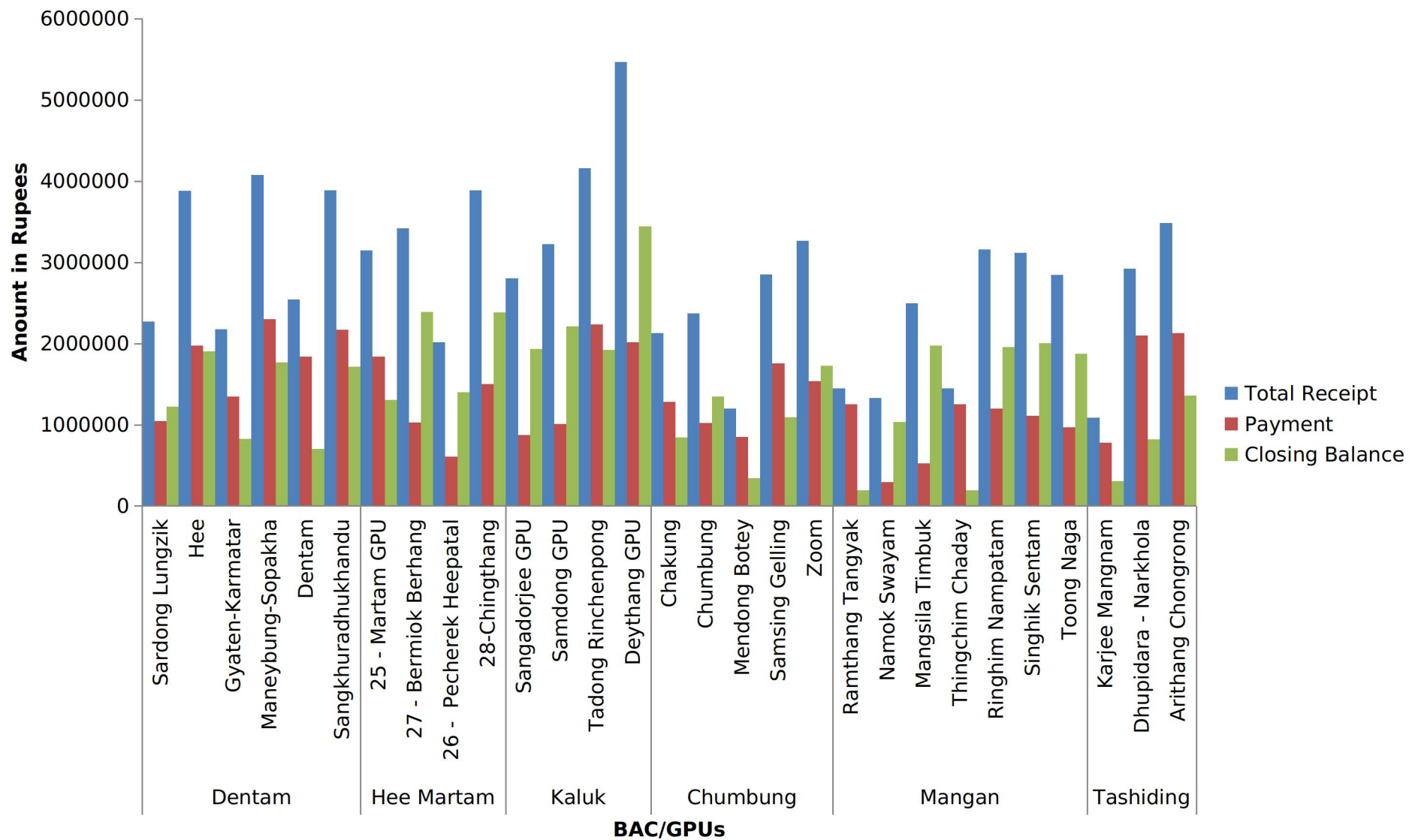
Financial position of GPUs for the Financial Year 2015-16



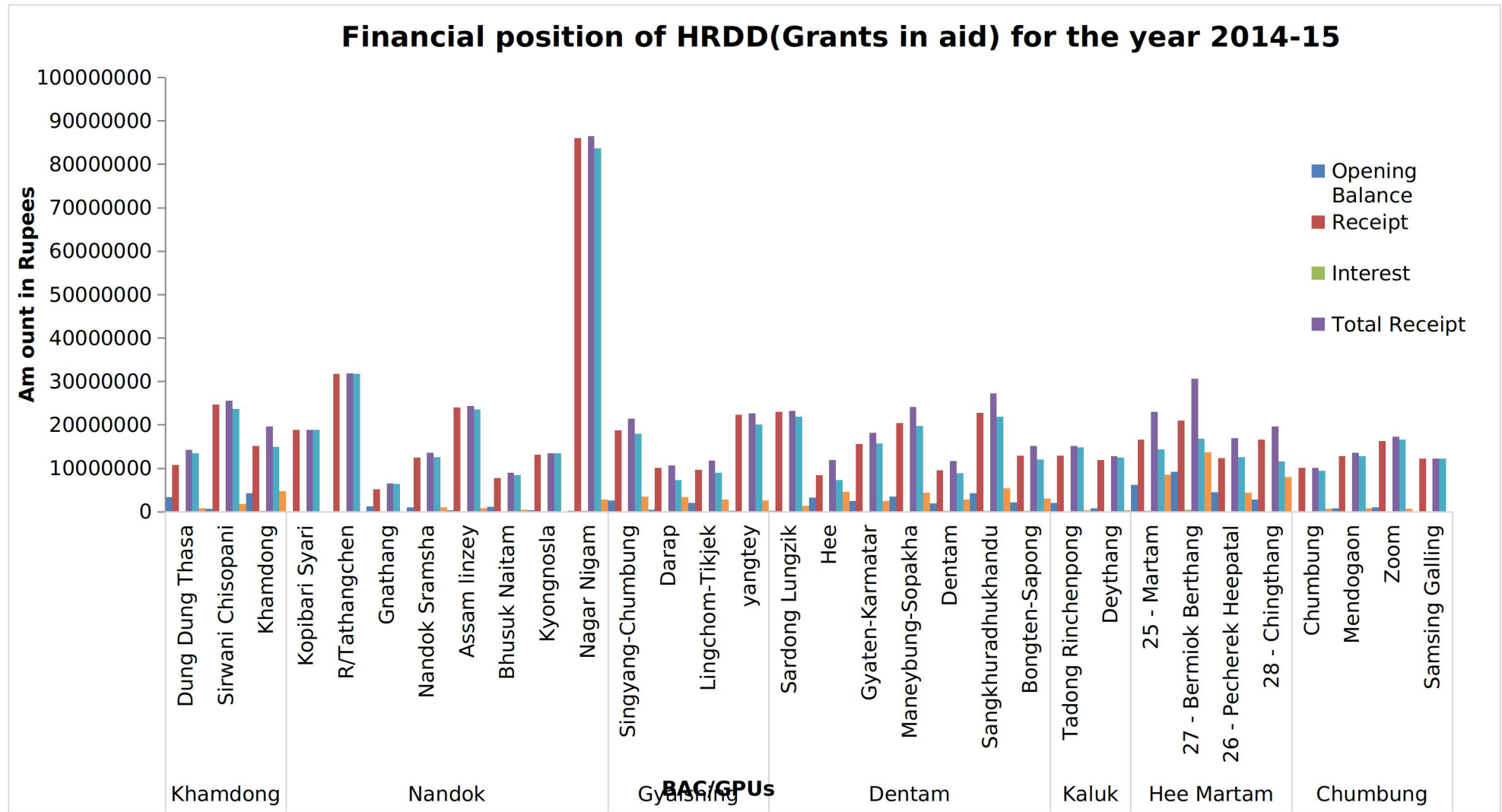
Financial Position of GPUs for the Financial Year 2016-17



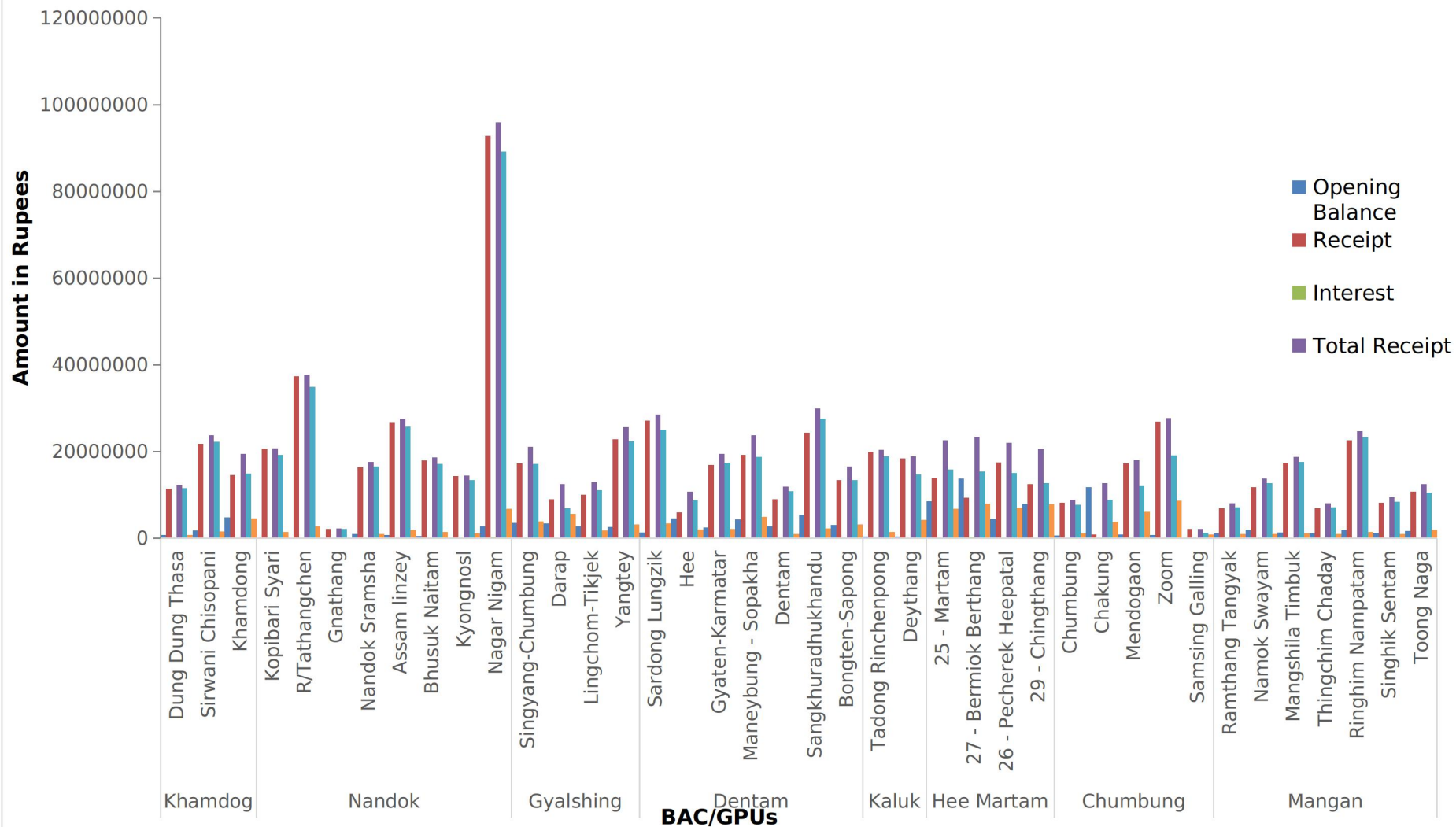
Financial Position of GPU for the Financial Year 2016-17



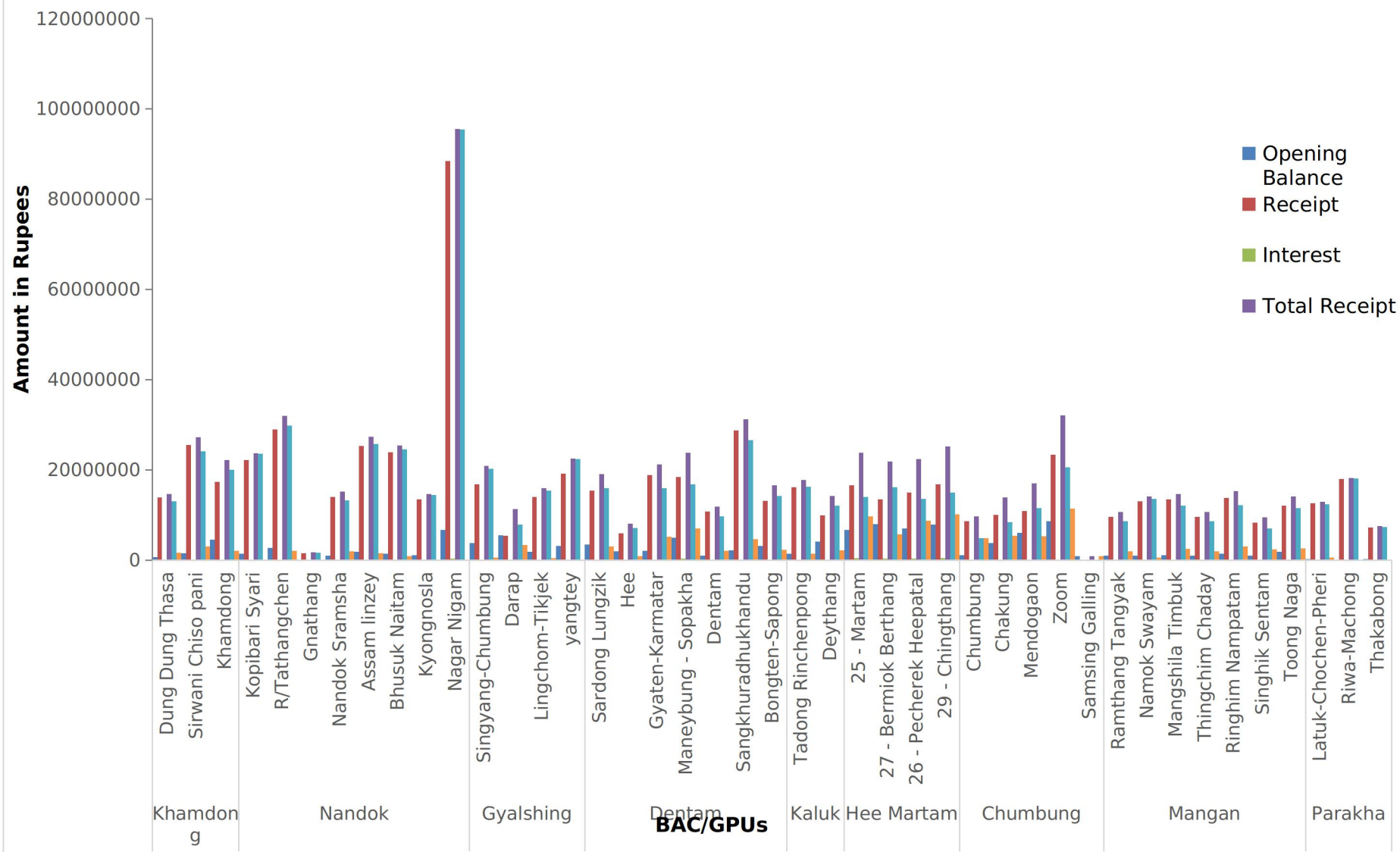
II. BAR CHART SHOWING YEAR WISE TOTAL RECEIPT, PAYMENT & SAVINGS OF HRDD (GRANTS IN AID)



Financial position of HRDD(Grants in aid) for the year 2015-16

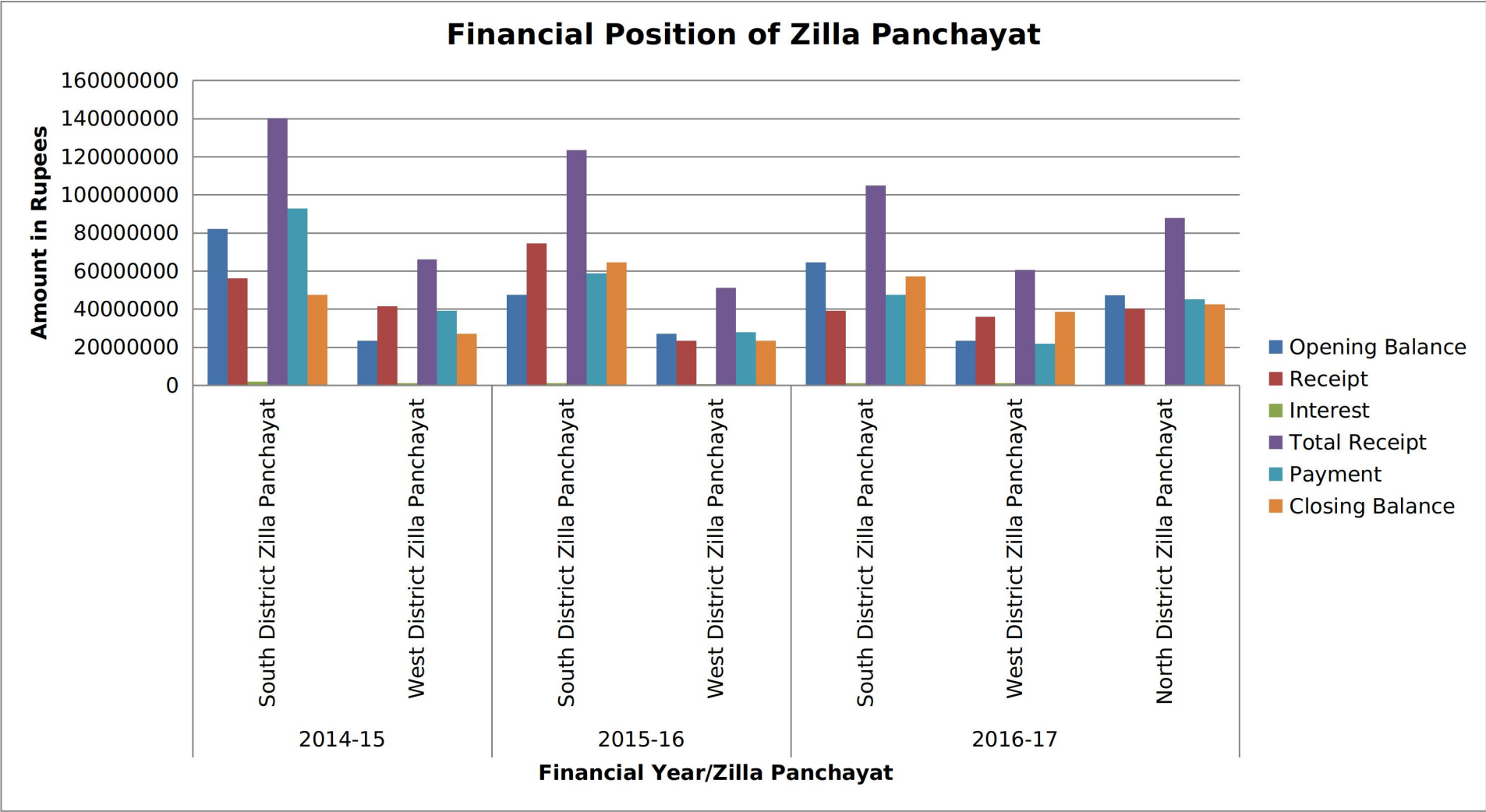


Financial position of HRDD(Grants in aid) for the year 2016-17

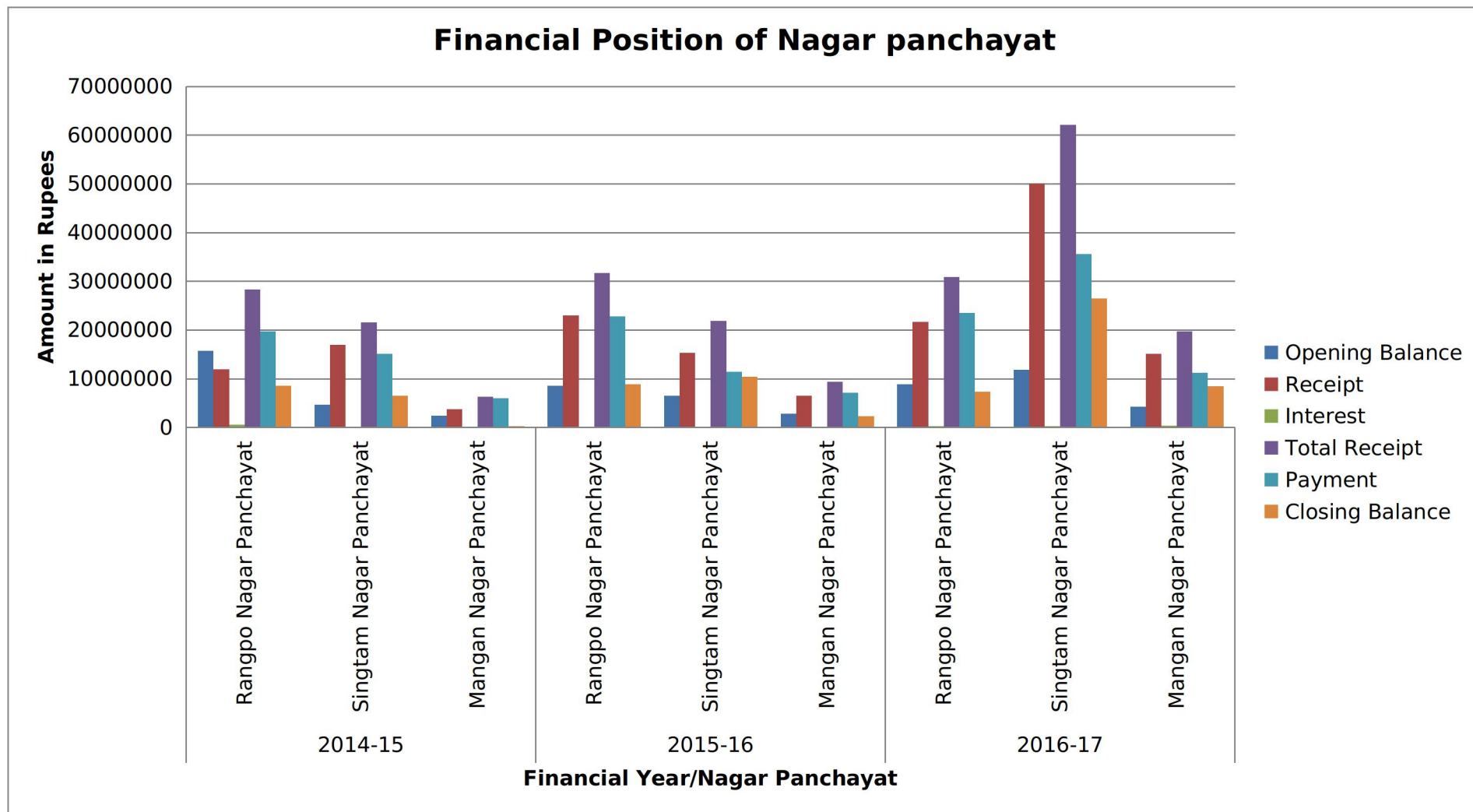


III. BAR GRAPH SHOWING YEAR WISE FINANCIAL POSITION OF ZILLA PANCHAYAT

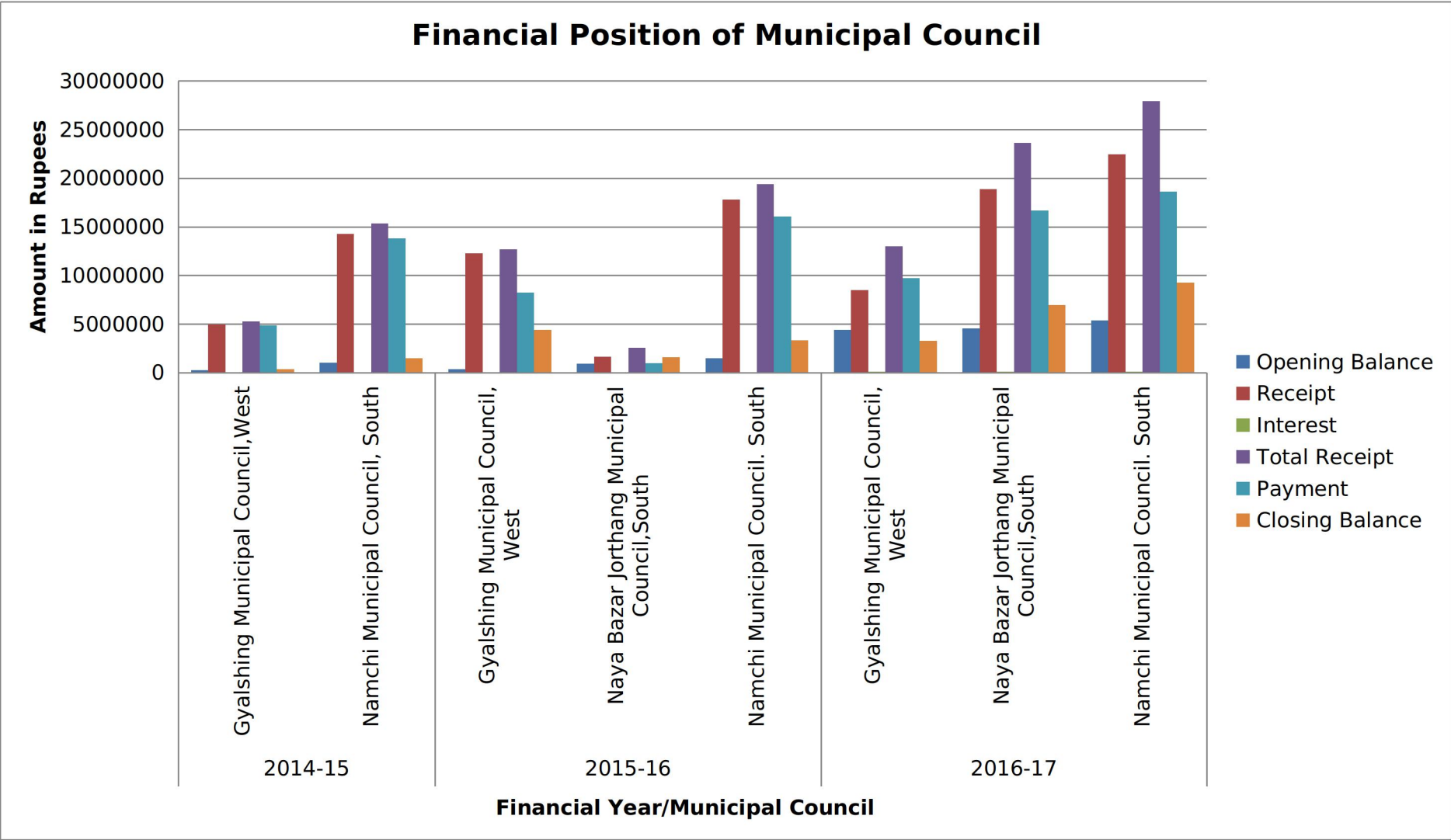
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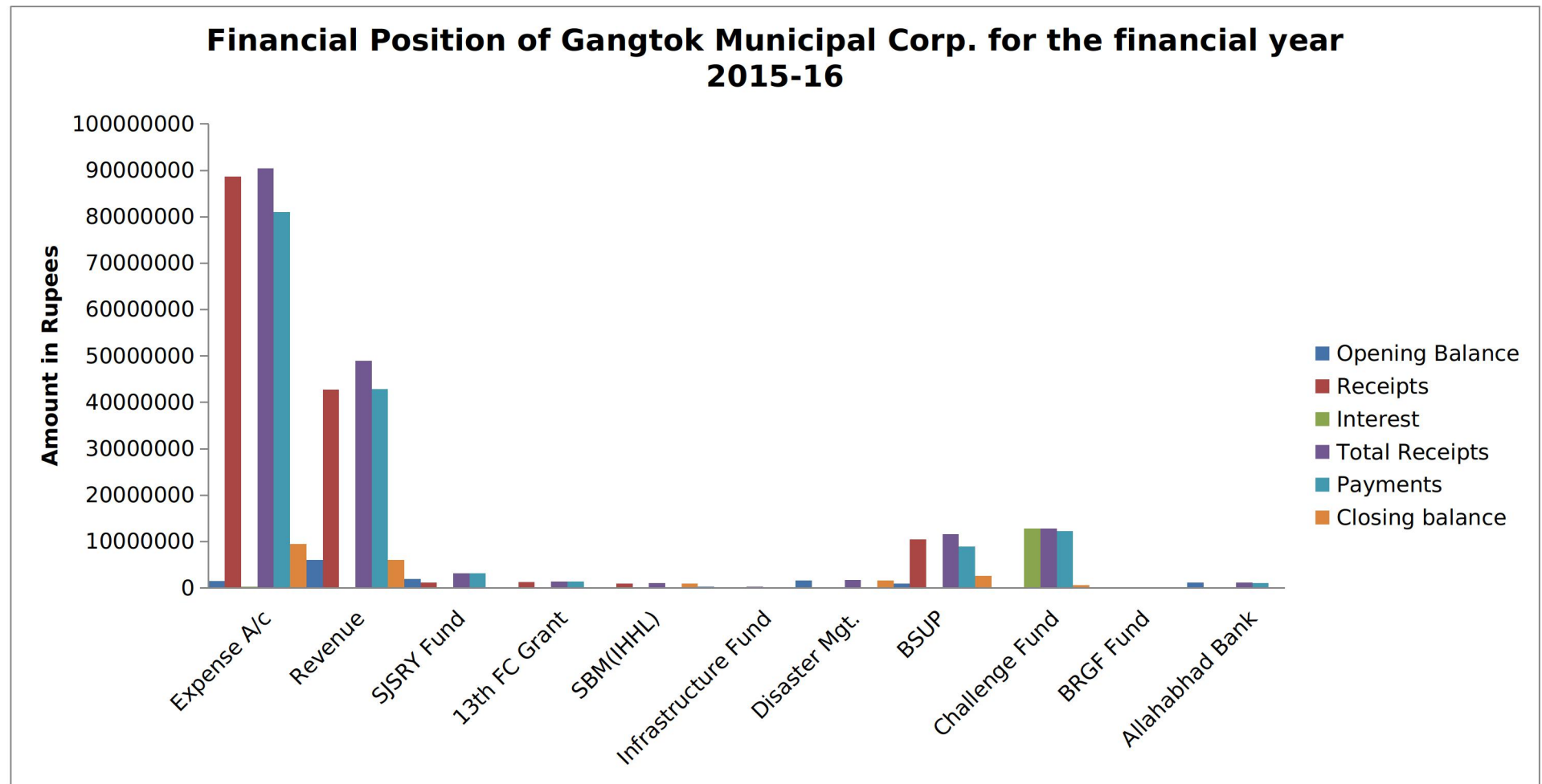
IV. BAR GRAPH SHOWING YAEAR WISE FINANCIAL POSITION OF NAGAR PANCHAYAT



V. BAR GRAPH SHOWING YEAR WISE FINANCIAL POSITION OF MUNICIPAL COUNCIL



VI. BAR GRAPH SHOWING YEAR WISE FINANCIAL POSITION OF GANGTOK MUNICIPAL CORPORATION



**Financial position of Gangtok Municipal Corp for the financial year
2016-17**

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